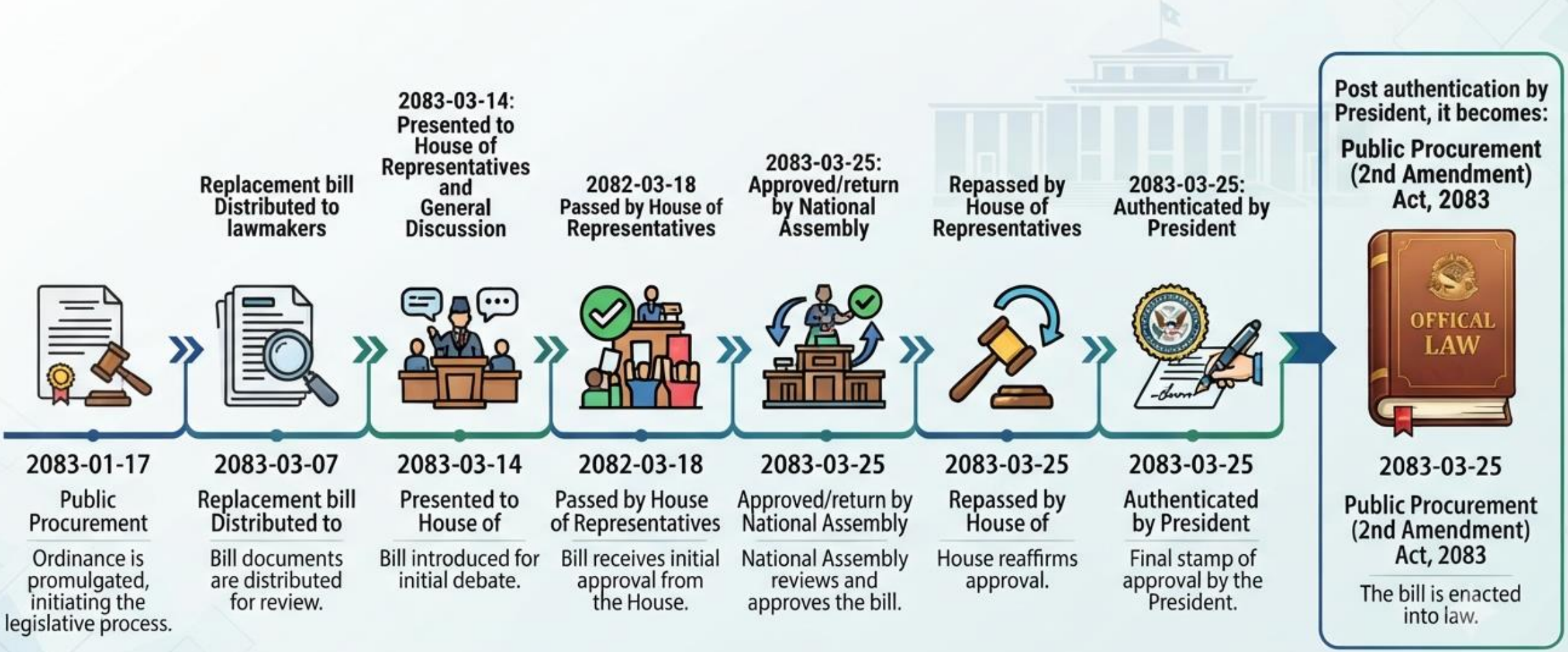
# Public Procurement (2nd Amendment) Act 2083

Authenticated by President on 2083-03-25

Amendment Coverage by CA Govinda Tamang

# LEGISLATIVE TIMELINE:
# PUBLIC PROCUREMENT (2ND AMENDMENT) ACT, 2083



# NEPAL'S AMENDED PUBLIC PROCUREMEENT ACT 2007

## MAJOR REFORMS FOR TRANSPARENCY, ACCOUNTABILITY AND EFFICIENT PROJECT DELIVERY

The amended Act introduces strong measures to prevent misuse of public funds, speed up procurement and ensure quality infrastructure through fair competition and accountability.

### 1 CRIMINAL LIABILITY FOR MISUSE OF PUBLIC FUNDS



- Contractors, suppliers, consultants and responsible officials may face criminal prosecution for **fraud and forgery** if they:
  - Misuse advance payments or public funds for unrelated purposes
  - Submit false documents to obtain payments
  - Abandon work after receiving payments
  - Cause financial losses to the state

**First time such provision included in Nepal's public procurement law.**

### 2 REPLACEMENT OF LOWEST-BID SYSTEM WITH AVERAGE BID METHOD




- **Average of all submitted bids** will be calculated.
- Contract awarded to the bidder whose price is **closest** to the **average**.
- Bids more than **30% below** the official cost estimate will be **excluded** from evaluation.

Promotes **fair competition** and improves quality of projects.

### 3 PRICE ADJUSTMENT PROVISION



Public agencies can provide price adjustments in construction contracts under exceptional situations, even if not originally included in contracts.

- International crises
- Wars
- Supply chain disruptions
- Pandemics
- Blockades

Applies to unusual increases in the cost of materials, labour, fuel, equipment or transportation. Adjustments will follow procedures approved by the Cabinet.

### 4 SHORTER TENDER TIMELINES

| Type of Tender | PREVIOUS | REVISED |
|---|---|---|
| National Tender | 30 days | 21 days |
| National Re-tender | 15 days | 7 days |
| International Tender | 45 days | 30 days |
| International Re-tender | 21 days | 15 days |

Reduced timelines ensure faster procurement and project implementation.

## 5 DECENTRALISATION OF VARIATION APPROVAL AUTHORITY

| | |
|---|---|
| Gazetted Third Class Officer | Up to 5% |
| Gazetted Second Class Officer | Up to 10% |
| Gazetted First Class Officer | Up to 15% |
| Department Heads | Beyond 15% |

Approval authority is now decentralised for quicker decision-making.

## 6 GREATER RESPONSIBILITY OF PUBLIC AGENCIES

- Provide construction sites
- Facilitate supply of construction materials
- Allow use of forest areas (if required)
- Relocate electricity, water, sewerage and telecom infrastructure
- Ensure access roads for construction

These responsibllities were not clearly defined in the previous law.

## 7 PENALTIES FOR DELAYED DECISIONS BY OFFICIALS

Officials who fail to make required decisions, approvals, recommendations or arrangements within time may face:

- Departmental action
- Suspension of government grants to non-compliant agencies

## 8 REVISED LOSS RECOVERY MECHANISM

- Performance security will be seized.
- Remaining losses will be recovered by deducting the original contract value from the updated cost estimate for completing the unfinished work.
- The recoverable amount will be treated as government dues.

Earlier, contractors were liable for the entire cost required to complete remaining work.

## 9 INCENTIVES FOR EARLY COMPLETION

Contractors who complete important projects on time with quality may receive:

- Bonuses
- Certificates of appreciation
- Other rewards

Officials facilitating early ceecmettion may also receive incentives.

## 10 PROVISIONS FOR MODERN CONTRACTS

The Act provides technical guidelines and legal framework for:

- Engineering, Procurement and Construction (EPC)
- Design and Build
- Turnkey Contracts

## 11 ESTABLISHMENT OF GOVERNMENT PROCUREMENT SERVICE

A Government Procurement Service will be established under the Office of the Prime Minister and Council of Ministers to:

- Provide technical assistance
- Help agencies in supplier selection
- Support procurement of goods

## OVERALL IMPACT

- Prevents misuse of public money
- Reduces project delays
- Discourages unrealistic low bidding
- Improves construction quality
- Increases accountability of contractors & officials
- Makes procurement faster and more professional

# Preparatory Provisions & Definitions

| Sec. | Section Name | Change Type | Vs. Ordinance | Summary of Amendment |
|---|---|---|---|---|
| 2 | Definitions | **Amendment** | **Similar** | "Goods" & "Other Services" definitions replaced; new term "Domestic Goods" added (30% local value-addition threshold). |
| 4A | Preparations to be Made | **New** | **Not in Ordinance** | Bars starting procurement without budget arrangement, or inviting bids without site, clearance, compensation-budget and environmental readiness. |
| 5 | Cost estimate to be prepared | **Amendment** | **Not in Ordinance** | New norms for construction, consulting and other-service cost estimates; norms sent to PPMO for archiving/publication. |
| 7 | Responsibility for procurement activity | **Amendment** | **Not in Ordinance** | Adds primary responsibility of contractor/supplier (6A) and of the design/estimate consultant for technical-economic justification (6B). |
| 8 | Procurement method to be selected | **Amendment** | **Partial** | Adds reverse-auction as a bidding method; restates anti-splitting/anti-bundling rule to protect competition. |

## Section 2: Definition

- 2(c ) "Goods" means any kind of object, whether movable or immovable, living or non-living, tangible or intangible, and the term also includes incidental services to the supply of such objects. (Replaced original sub-section)

- 2(f) "Other Services" means non-consulting services other than consulting services, including the hiring of vehicles, equipment, or goods; carriage or transportation; maintenance of goods; advertising; procurement of security services; procurement of cleaning services; purchase of airline tickets; and infrastructure management, operation, and maintenance. (Replaced original sub-section)

- 2(t1) "Domestic Goods" means goods produced utilizing domestic labor and raw materials, or goods produced by a domestic industry from raw materials imported from another country, where the addition of domestic labor, domestic raw materials, and materials accounts for a share equivalent to at least thirty percent of the value increase. Provided that, goods imported from abroad and branded in Nepal shall not be considered as domestic goods. (New sub-section added)

# Public Procurement: Key Definitions Summary

Based on Section 2: Definition and Subsequent Amendments

## 1. Goods



- 2(c) 'Goods' means any kind of object, whether movable or immovable, living or non-living, tangible or intangible, and the term also includes incidental services to the supply of such objects.
  (Replaced original sub-section)

## 2. Other Services



- 2(f) 'Other Services' means non-consulting services other than consulting services, including the hiring of vehicles, equipment, or goods; carriage or transportation; maintenance of goods; advertising; procurement of security services; procurement of cleaning services; purchase of airline tickets; and infrastructure management, operation, and maintenance.
  (Replaced original sub-section)

## 3. Domestic Goods




- 2(t1) 'Domestic Goods' means goods produced utilizing domestic labor and raw materials, or goods produced by a domestic industry from raw materials imported from another country, where the addition of domestic labor, domestic raw materials, and materials accounts for a share equivalent to at least thirty percent of the value increase. Provided that, goods imported from abroad and branded in Nepal shall not be considered as domestic goods.
  (New sub-section added)

## Section 4A: Preparations to be Made (New section added)

(1) A public entity shall not initiate procurement proceedings without making the necessary budget arrangement for the procurement.

(2) Notwithstanding anything contained in sub-section (1), in the case of procurement to be carried out under a multi-year agreement, procurement proceedings may be initiated after making the necessary budget arrangement for the first year and ensuring the source of funding for the subsequent years.

(3) A public entity shall not invite bids without ensuring the following :-

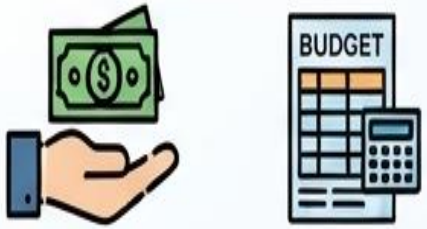
a) Arrangement of the construction site,
b) Ensuring the removal of structures, including trees and plants, that need to be cleared from the construction site,
c) Ensuring the budget allocation if compensation or restitution needs to be distributed, and
d) Approval of the environmental study report required to be conducted in accordance with the prevailing law.

*Note: This section is new section introduced in the Act, it was not there in Ordinance*

# PUBLIC PROCUREMENT: SECTION 4A PREPARATIONS SUMMARY

(Based on Section 4A: Preparations to be Made, New section added)

## 1. BUDGET ARRANGEMENT




- MUST BE IN PLACE BEFORE INITIATING PROCEEDINGS
- EXCEPTION: FOR MULTI-YEAR AGREEMENTS, SECURE FUNDING FOR FIRST YEAR AND SUBSEQUENT YEARS

## 2. GENERAL BID INVITATION CONDITIONS




- ENSURE SITE ARRANGEMENTS ARE COMPLETE
- ENSURE ALL NECESSARY CLEARANCES (STRUCTURES, TREES, PLANTS) ARE DONE
- ENSURE BUDGET ALLOCATION FOR ANY COMPENSATION/RESTITUTION
- OBTAIN APPROVAL OF THE ENVIRONMENTAL STUDY REPORT

## 3. KEY PRINCIPLES & CLARIIFICATIONS



- A PUBLIC ENTITY SHALL NOT INITIATE PROCEEDINGS OR INVITE BIDS WITHOUT MEETING THESE CONDITIONS
- ALL ACTIONS MUST BE IN ACCORDANCE WITH PREVAILING LAW

NOTE

***Note:*** *This section is new section introduced in* ***the Act,*** *it was not there in Ordinance.*

## Section 5: Cost estimate to be prepared (New sub-sections 1A to 1D added)

1. Public Entity shall have to prepare a cost estimate as prescribed for any procurement whatsoever. Provided that, except in the case of construction work, a cost estimate is not required for purchases up to one hundred thousand rupees.

1A. When preparing a cost estimate for construction works pursuant to sub-section (1), a public entity shall do so in accordance with the norms approved by the Government of Nepal, Council of Ministers. Provided that, if a specific type of norm is required for a particular work while working according to such norms, the head of the concerned public entity shall cause the necessary norms to be prepared by the technician of that entity, and in the absence of such a technician, by the relevant technician of another public entity. The norms prepared in this manner shall be approved by the head of the concerned department.

1B. When preparing a cost estimate for consulting services or other services, it shall be done in accordance with the norms approved by the concerned Ministry in the case of sub-clause (1) of clause (b) of Section (2)*, and by the highest executive body of that entity in the case of other public entities.

1C. The norms prepared pursuant to sub-sections 1A and 1B shall be sent to the Public Procurement Monitoring Office (PPMO) for archiving and publication.

1D. Until the norms are approved and implemented pursuant to sub-sections 1A and 1B, nothing shall prevent the preparation of cost estimates in accordance with the norms prevailing at the time of the commencement of this Act.

2. A Public Entity shall update, as prescribed, the cost estimate prepared pursuant to sub-section (1).

*2(b)(1) - Constitutional organ or body, Court, Ministry, Secretariat, Commission, Department of the Government of Nepal or provincial Government or any other Governmental Entity or Office thereunder,

*Note: This sub-sections are new sub-sections introduced in the Act, it was not there in Ordinance*

# Section 5: Cost estimate to be prepared (New sub-sections 1A to 1D added)

## Mandatory Preparation

Public Entity must prepare a cost estimate for all procurement.

Exception: No estimate needed for construction work purchases under 100,000 rupees.





## 1A. Construction Work Estimates



Prepare per approved GoN Council of Ministers norms. If specific norms don't exist, the entity's technician prepares them, and the Dept. Head approves.






## 1B. Consulting & Other Service Estimates

Prepare per approved Ministry norms. For other entities, the highest executive body approves.

*(referencing footnote text)*








## 1C. PPMO Submission

All prepared 1A and 1B norms must be sent to the Public Procurement Monitoring Office (PPMO) for archiving & publicating publication.







## 1D. Transitional Arrangement

Until new norms are active, you can use estimates based on norms from the Act's commencement time.





## 2. Cost Estimate Update

Public Entity must update cost estimates as prescribed.





*2(b)(1) - Constitutional organ or body, Court, Ministry, Secretariat, Commission, Department of the Government of Nepal or provincial Government or any other Governmental Entity or Office thereunder,

*Note: This sub-sections are new sub-sections introduced in the Act, it was not there in Ordinance*

## Section 7: Responsibility for procurement activity (Sub-section 6 replaced and 6A & 6B added)

1. The chief of the concerned public entity shall be responsible for executing, or causing to be executed, the procurement activity by fulfilling the procedures referred to in this Act.

2. A public entity shall, in executing the procurement activity pursuant to sub-section (1), get it to be executed by an employee who has such qualification as may be determined by the Public Procurement Monitoring Office and has knowledge or training on procurement.

3. A public entity shall, for the performance of the following functions, establish a separate division, section or unit on the basis of workload and nature of procurement activity and designate the procurement official

(a) To prepare procurement plans,
(b) To prepare, as required, prequalification documents, bidding documents and contract documents in such a way that they do not generally differ substantially from the standard bidding documents, standard prequalification documents and standard contract documents prepared by the Public Procurement Monitoring Office,
(c) To so prepare documents relating to proposals for consultancy services as required that they do not generally differ substantially from19 the standard request for proposal prepared by the Public Procurement Monitoring Office,
(d) To publicly publish the notices on procurement,
(e) To issue pre-qualification documents, bidding documents or to forward documents relating to proposals for consultancy service,
(f) To receive and safely retain pre-qualification proposals, bids or proposals for consultancy service,
(g) To submit the pre-qualification proposals, bids or proposals for consultancy service to the evaluation committee for their evaluation and submit the evaluated bids for acceptance,
(h) To give notice of acceptance of the pre-qualification proposals, bids or proposals for consultancy service,
(i) To obtain, examine and safely retain the performance guarantee,
(j) To examine, or cause to be examined, the quality of the procured goods, construction works or services,
(k) To provide such information and documents as demanded by the Public Procurement Monitoring Office, and
(l) To perform such other functions as may be prescribed.

## Section 7: Responsibility for procurement activity (Sub-section 6 replaced and 6A & 6B added)

4. In performing, or causing to be performed, the functions referred to in sub-section (3), the authority who is entrusted with the responsibility of the procurement division, section or unit shall perform such functions with the approval of the chief of the concerned public entity.

5.The functions, duties and powers of the chief of the procurement division, section or unit established pursuant to subsection (3) shall be as prescribed.

6. It shall be the duty of the head of the concerned public entity to ensure regular supervision and monitoring of the work carried out under a procurement contract entered into pursuant to this Act, and to ensure that the work is completed within the prescribed time by complying with or causing compliance with the terms and conditions of the contract.

6A. It shall be the primary responsibility of the concerned construction entrepreneur (contractor), supplier, consultant, or service provider to complete the work of the prescribed quantity within the stipulated time, maintaining the quality in accordance with the specifications and standards mentioned in the procurement contract.

6B. A consultant appointed to prepare the design, cost estimate, and technical report for procurement work carried out pursuant to this Act shall prepare the design, cost estimate, and technical report in a manner that makes them safe, practical, economical, implementable, and economically justifiable; and the primary responsibility regarding its technical and economic justification shall rest with the concerned consultant.

*Note: This sub-sections are new sub-sections introduced in the Act, it was not there in Ordinance*

# PUBLIC PROCUREMENT (2ND AMENDMENT) ACT, 2083: RESPONSIBILITY FOR PROCUREMENT ACTIVITY (Section 7)

## 1 1: Chief of Concerned Public Entity

1. Responsible for executing/causing execution of procurement activity, adhering to Act procedures.




## 2 2: Qualified Procurement Official

2. Execution delegated only to an employee with Public Procurement Monitoring Office (PPMO) specified qualifications, knowledge, and training.



## 3 Procurement Functions & Official Designation

3. Public entity must establish a separate procurement division/section/unit based on workload & designate official for functions.



## 3A-L: Detailed Functions (List)

- ☐ (a) Prepare procurement plans.
- ☐ (b) Prepare standardized documents (pre-qualification, bidding, contract) per PPMO formats.



- ☐ (c) Prepare consultancy proposals as required; use PPMO standardized documents.



- ☐ (d) Publish notices consultancy proposal documents.



- ☐ (f) Receive & retain performance guarantees proposals.



(d) Publish notices on procurement.



(e) Issue/forward consultancy proposal documents.



(h) Give notice of acceptance of proposals/bids.



(j) Examine/test the quality of procured goods/works/services.




(g) Submit proposals/bids to the evaluation committee for evaluation.



(h) Give notice of acceptance of proposals/bids.



(k) Provide information as demanded by PPMO.




(l) Perform other prescribed functions.

## 4. Responsibility for Authority Entrusted

4. Authority entrusted with responsibiiity in Section 3(3) performs functions with approval of the Chief.




## 5. Functions, Duties & Powers of Chief

5. Functions, duties, and powers of the Chief of the procurement unit established under 3(3) are as prescribed.




## 6. Head of Entity Monitoring Duty (REPLACED)

6. Head of entity must ensure regular supervision and monitoring of work under the contract to ense completion in prescribed time.



## 6A. Contractor/Supplier Responsibility (ADDED)

(New Sub-clause 6A)

Primary responsibility of the construction entrepreneur, supplier, or consultant to complete work within time, maintaining quality & specifications.



## 6B. Consultant's Responsibility for Design/Report (ADDED)

(New Sub-clause 6B)

Consultant appointed to prepare design/cost estimate/technical report is responsible for safety, practicality, economy, and economic justification.



**NOTE:** This infographic summarizes key clauses of the Act for clarity. For official legal interpretation, refer to the full text of the Public Procurement (2nd Amendment) Act, 2083. Clauses 6, 6A, and 6B are new/replaced as per the amendment. C.A. Govinda Tamang.

## Section 8: Procurement method to be selected

1. A public entity shall make procurement by applying any of the following methods based on such conditions and purchase price as prescribed:

(a) For the procurement of goods, works or other services:

1. Inviting international open bidding,
2. Inviting national open bidding,
3. Inviting sealed quotations,
4. Direct procurement,
5. Through participation of users' committee or beneficiary group,
6. Through a forced account,
7. Lump sum piece rate method, Explanation: For the purposes of this sub-clause, "lump sum piece rate method" means the method of submitting bids by undertaking to perform the act by what percent less or more than the quantity of each unit and total figure of the cost estimate.
8. Method of procurement from the producer or authorized seller at the specified rate (catalogue shopping), Explanation: For the purposes of this sub-clause, "method of procurement from the producer or authorized seller at the specified rate (catalogue shopping)" means the method of procurement through competition in the price specified by the company producing goods of equivalent level after the company which manufactures any goods has published the selling price set by it on the basis of the characteristics, quality and facilities of the product in the website or brochure of the concerned company.
9. Method of procurement where limited bidders participate (limited tendering), Explanation: For the purposes of this sub-clause, "method of procurement where limited bidders participate (limited tendering)" means the method of procurement through competition between such producers, suppliers or service providers only if there are limited producers, suppliers or service providers in the procurement of any goods, construction works or services.
10. Method of procurement whereby the new one is procured by returning the old one (buy-back method), Explanation: For the purposes of this sub-clause, "method of procurement whereby the new one is procured by returning the old one (buy-back method)," means the method whereby, in the case of those goods or machinery, equipment which become of no use after a certain period of time or cannot be auctioned or stored or used from the point of view of public health and environment, the new one is procured by returning such goods or machineries, equipment, upon making their valuation as prescribed, to the concerned manufacturer or supplier.

## Section 8: Procurement method to be selected

1. A public entity shall make procurement by applying any of the following methods based on such conditions and purchase price as prescribed:
   (a) For the procurement of goods, works or other services:
      11. By procurement through the bid amount reduction (reverse auction) method. Explanation: For the purpose of this sub-clause, "procurement through the bid amount reduction (reverse auction) method" means a method where the cost estimate of the public entity is treated as the maximum amount, a specific time frame is provided to the bidders or service providers to bid by reducing amounts below that level, and the bidder or service provider that bids the lowest amount within that time frame is selected." (added)
   (b) For the procurement of consultancy services:
      1. By requesting competitive proposals,
      2. Through direct negotiations.

1A. The bid amount reduction (reverse auction) method pursuant to sub-clause (11) of clause (a) of sub-section (1) may be used in procurement work having a cost estimate up to the prescribed amount. (added)

2. When making a procurement in accordance with this Act and the rules made under this Act, the procurement shall not be carried out in the following manner:
(a) By creating large packages in a manner that narrows down and limits competition, except in cases where a whole project or goods are interrelated and must be accepted only after testing, or
(b) By splitting into pieces in a manner that narrows down and limits competition, or changes the procurement method. (replaced)

3. The provisions relating to the methods of procurement referred to in sub-clauses (7), (8), (9), (10) and (11) of clause (a) of sub section (1) shall be as prescribed. (replaced)

*Note: Subsection 1A addition and subsection 3 replacement introduced in Act, Subsection 1(a)(11) and 2 was there in Ordinance*

## Section 8: Procurement Method to be Selected

### Methods for Goods, Works, or Services (Sub-section 1a)



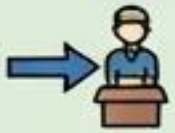
**1. International Bidding**
Inviting International Bidding.



**2. National Bidding**
Inviting National Bidding.



**3. Sealed Quotations**
Inviting Sealed Quotations.



**4. Direct Procurement**
Direct Procurement.



**5. User Committee Participation**
Participation of Users' Committee/Group.



**6. Forced Account**
Through a Forced Account.



**7. Lump Sum Piece Rate**
Lump Sum Piece Rate Method.

* **Explanation:** Bidding based on percent less/more than quantity/total cost.



**8. Catalogue Shopping**
Producer/Authorized Seller at Specified Rate (Catalogue Shopping).

* **Explanation:** Competition based on characteristics, quality, and facilities of product.




**9. Limited Tendering**
Limited Bidders (Limited Tendering).

* **Explanation:** Competition between producers/suppliers/service providers when limited.



**10. Buy-Back Method**
Returning Old One for New (Buy-Back Method).

* **Explanation:** Old, unusable equipment is returned to the supplier upon valuation.



**11. Bid Amount Reduction (Reverse Auction).**
Bid Amount Reduction (Reverse Auction).

* **Explanation:** Cost estimate is max, lowest bid within time frame is selected.

## Methods for Consultancy Services (Sub-section 1b)



**1. Competitive Proposals**
Requesting Competitive Proposals.



**2. Direct Negotiations**
Through Direct Negotiations.

## Procurement Constraints & Use Conditions (Sub-sections 1A, 2, 3)

**Conditions for Reverse Auction (1A):** (Added text)



Bid Amount Reduction (1A) can be used for procurement work ***up to the prescribed amount***.

**Prohibited Practices (2): DO NOT:**

- Create large packages to narrow/limit competition (except for interrelated/untestable goods).
- Split into smaller pieces to narrow/limit competition or change method.



**Compliance (3):** Procurement must adhere strictly the methods prescribed in sub-clauses **(7), (8), (9), (10), and (11), and (11).**

***Note:*** *Subsection 1A addition and subsection 3 replacement introduced in Act, Subsection 1(a)(11) and 2 were there in Ordinance*

# Qualification & Bidding Procedures

| Sec. | Section Name | Change Type | Vs. Ordinance | Summary of Amendment |
|---|---|---|---|---|
| 10 | Qualification of bidder or proponent | **Amendment** | **Similar** | Merged companies inherit pre-merger qualifications (2A); PPMO may set technical/financial mark-weightage for large works (2B). |
| 11 | Processes and stages of bidding | **Amendment** | **Similar** | Introduces single-envelope bidding (no qualification / below threshold) and two-envelope bidding (qualification required / above threshold). |
| 13 | Bidding documents to be prepared | **Amendment** | **Similar** | Joint-venture joint-liability clause; mark-weightage disclosure; fee waived for e-procurement bidding documents. |
| 14 | Invitation to bids | **Amendment** | **Similar** | E-procurement notices exempt from print publication; tiered re-invitation timelines; new domestic-goods preference (8A). |

# Section 10: Qualification of bidder or proponent

1. A bidder or proponent shall meet the following qualification in order to get a procurement contract:
(a) In the case of the bidder, the qualification criteria set forth in the bidding documents or where act of prequalification has been conducted for procurement, the qualification criteria set forth in the prequalification documents, and
(b) In the case of the proponent, the qualification criteria set forth in the documents relating to proposals.

2. When specifying the criteria for qualification in the bidding documents or proposal documents pursuant to sub-section (1), professional and technical qualifications, availability of equipment, past performance level, technical and financial capacity (bid capacity), arrangement for after-sales service, availability of spare parts, legal capacity, financial resources and status, punishment for professional misconduct, and other similar criteria may be specified. (replaced)

2A. When calculating the qualification of a bidder pursuant to sub-section (2), if two or more companies or firms have merged prior to the submission of the bid, the qualifications of the companies or firms existing before such merger shall be counted towards the qualification of the firm or company formed after the merger. (added)

2B. When determining the qualification of a bidder pursuant to sub-section (2), the Public Procurement Monitoring Office may determine the weightage of marks for technical and financial proposals as prescribed in the case of construction works is determined as large and complex, (added)

3. In setting forth the criteria pursuant to sub-section (2), no provision may be so made as to allow only those construction entrepreneurs, suppliers, consultants or service providers who belong to any particular class to participate in, or to exclude those construction entrepreneurs, suppliers, consultants or service providers belonging to any particular class from participating in, the procurement process.

4. Evaluation of the bids, pre-qualification proposals and proposals for consultancy service shall be made only in accordance with the criteria set forth in the bidding documents, pre-qualification documents and the documents relating to proposals respectively, and such criteria shall equally apply to all the bidders or proponents without any discrimination.

5. Notwithstanding anything contained elsewhere in this Section, qualification determination shall not be carried out for the procurement as prescribed. (replaced)

6. If the statement concerning the qualifications which has been submitted by a bidder or proponent is found to be factually false or materially incomplete, the public entity may disqualify such a bidder or proponent at any time. Provided that minor errors can be corrected by seeking information pertaining thereto from the concerned bidder or proponent.

*Note: Same as Ordinance*

# Section 10: Qualification of bidder or proponent

## Module 1: Basic Requireda & Specific Factors




A bidder or proponent must meet specified qualifications to get a contract.

(a) As defined in bidding/prequalification documents.

(b) As defined in proposal documents.

## Module 2: Specific Factors (2)

When specifying criteria, Public Entities *may* include *(Replaced text)*:

- Professional/Technical qualifications
- Equipment availability
- Past Performance
- Financial Capacity & Bid Capacity
- After-sales service
- Spare parts availability
- Legal capacity & Financial status
- Misconduct history

## Module 3: Mergers & Qualifications (2A)



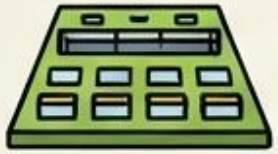
If companies merge before bid submission, qualifications of pre-merger companies count towards the new entity.

## Module 4: Technical & Financial Weightage (2B)




For large, complex construction works, PPMO may determine the weightage of marks.

## Module 5: Equal Application (4)



Evaluation must strictly follow criteria. All bidders/proponents must be treated equally without discrimination.

## Module 6: Non-Discrimination (3)




Entities from any particular class cannot be excluded from the procurement process.

## Module 7: Qualification Determination (5)




Qualification determination shall *not* be carried out for the procurement as prescribed.

## Module 8: False Statements & Corrections (6)




If statements are factually false or materially incomplete, the public entity may disqualify.

**But**, minor errors can be corrected by seeking information from the concerned party.

*Note: Same as Ordinance*

## Section 11: Processes and stages of bidding

1. In making procurement through bidding, an invitation to bid may be made by following the process as follows:
a. Making invitation to open bids by determining the prequalification,
b. Making invitation to open bids without determining the prequalification.

2. The open bid may be invited in a single stage or in two stages.

3. In making an invitation to bid in the circumstance set forth in sub-section (1) of Section 28 (Technical specs not feasible to define/ Complex Nature), it may be made in two stages.

4. When procuring goods or other services of a type that do not require bidder qualification, or construction works of an amount less than the prescribed amount through bidding openly invited pursuant to sub-section (2), procurement shall be made by adopting a single-envelope system where the bidder submits the technical and financial proposals in a single envelope. (added)

5. When procuring goods or other services of a type that require bidder qualification, or construction works of an amount more than the prescribed amount through bidding openly invited pursuant to sub-section (2), procurement shall be made by adopting a two-envelope system where the bidder submits the technical and financial proposals in two separate envelopes. (added)

6. Other arrangements regarding invitation and evaluation of bids pursuant to sub-sections (4) and (5) shall be as prescribed. (added)

*Note: Same as Ordinance*

# Section 11: Processes and Stages of Bidding

## 1. Invitation to Bids (Sub-section 1)




(a) 


**Prequalification Path.**
Invitation ***after*** determining Prequalification.

(b) 


**No Prequalification Path.**
Invitation ***without*** Prequalification.

## 2. Bid Invitation Stages (Sub-section 2)




Open bid may be invited in a **SINGLE STAGE** or **TWO STAGES.**

## 3. Two-Stage Bidding Condition (Sub-section 3)



**TWO-STAGE** bidding is **TWO-STAGE** bidding is ***mandatory*** technical specifications cannot be defined or for complex nature (per Section 28(1)).

## 4. Single-Enve-Envelope System (Sub-section 4)

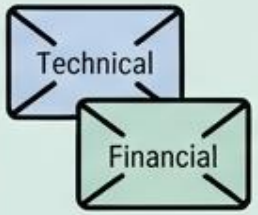


**SINGLE-ENVELOPE SYSTEM:**
Used when NO bidder qualification is required OR construction works are LESS than the prescribed amount. (added)



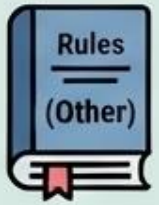

Bidder (addead))

## 5. Two-Envelope System (Sub-section 5)




**TWO-ENVELOPE SYSTEM:**
Used when bidder qualification IS required OR construction works are **MORE** than the prescribed amount.




Other arrangements regarding invitation and evaluation of bids (pursuant to sub-sections 4 & 5) shall be as prescribed. (added)

*Note: Same as Ordinance*

## Section 13: Bidding documents to be prepared

1. The public entity shall, prior to an invitation to bid, prepare the bidding documents.

2. The bidding documents referred to in sub-section (1) shall contain the following matters:

(a) The nature of procurement, time required for the procurement and technical specifications thereof
(b) Where bids are invited without determining the prequalification, the criteria for qualification of bidders referred to in Section 10,
(c) Where there is a provision that site visit needed to be made, information relating thereto,
(d) If any pre-bid meeting has to be held, information relating to such a meeting,
(e) Instructions for the preparation and submission of bids, the place for the submission of bids, the deadline for the submission of bids and the place, date and time for the opening of bids,
(f) Component of price, the currency or currencies in which the bid price may be stated, the currency to be used for the comparison of bids and the basis of the related exchange rate and date thereof,
(g) The criteria and methodology for the evaluation of bids and the selection of bidder,
(h) Where preference is to be given to domestic goods and local construction entrepreneurs, provision relating thereto,
(i) Where the procurement of any goods or works is to be made by making separate lots and packages, such lots and packages and the method of evaluation thereof,
(j) Where alternative proposals to the technical specifications are also invited, the method of evaluation of such alternatives,
(k) Where a bid can be submitted even only for a portion of the goods, works or services to be procured, details of such portion or portions,
(l) The validity period of a bid,
(m) The amount, type, acceptable form and validity period of the security required to be furnished for bid, performance or other necessary matter,
(n) Where the bid security is required, the matter that the period of that security shall exceed by thirty days to the validity period of bid,
(n1) The matter that the performance guarantee shall be furnished in a sum to be set by five percent of the bid price of the bidder if such a bid price is up to fifteen percent below the cost estimate and by fifty percent of the amount by which less price is quoted if such a bid price is below more than fifteen percent of the cost estimate, in addition to five percent of the bid price,
(n2) Financial and technical details submitted by the bidder to any public entity while submitting the bid or entering into the contract,
(n3) Where the bidder has commenced any work upon entering into contract with any public entity, such an entity, description of the work, amount of the contract and description of work progress,

## Section 13: Bidding documents to be prepared

(n4) The matter that where the bidder has commenced the work in accordance with clause (n3), the technical capacity of the bidder which is in use in any public entity shall not be counted for additional work to the extent that the technical capacity of the bidder is required for that entity, as mentioned in the documents referred to in clause (b) of sub-section (3) of Section 7,
(n5) If documents are required to be submitted to verify the bidder's past performance level under procurement contracts, particulars relating thereto,
(n6) In the case of procurement of goods, if documents are required to be submitted to verify operation and maintenance costs, resale value, and disposal costs, particulars relating thereto
(o) The terms and conditions of the procurement contract referred to in Section 52 and the manner of the entry into force of that contract,
(p) Information that bids shall not be processed in the event of conflict of interest or information relating to the legal action that is taken in the event of fraud or corruption,
(q) Provision that any bidder may make an application, for review, against any error or decision made by the public entity in carrying out bid actions,
(r) If requested in a single envelope, the provision that the technical proposal and financial proposal must be submitted in the same envelope, and if requested in two envelopes, the provision that the technical proposal and financial proposal must be placed in separate envelopes, sealed, and those separate envelopes must then be placed inside another single envelope, sealed, and submitted (replaced)
(s) Such other matters so determined by the Public Procurement Monitoring Office as to be mentioned in the prequalification documents or bidding documents.
(t) In a situation where a contract has been awarded by participating in the bidding process to complete a construction work through a joint venture, a provision stating that all members of the joint venture must bear the liability and complete the construction work according to the contract, and that the responsibility for such work shall not be transferred to any single member, limited members, or any other party of the joint venture. (added)
(u) In a situation where weightage of marks has been determined for qualification criteria, the weightage of marks for technical and financial proposals. (added)

3. The public entity shall provide the bidding documents by collecting such fees as prescribed to any person, firm, body or company that requests for the bidding documents, and where prequalification is required to participate in the procurement proceeding, to any person, firm, body or company that has been pre-qualified and requests for such documents, in accordance with the notice for invitation to bids. Provided that, if the notice inviting bids has been issued through the electronic procurement system, such a fee shall not be charged. (added)

*Note: Similar to Ordinance*

# SECTION 13: BIDDING DOCUMENTS TO BE PREPARED

**THE PUBLIC ENTITY SHALL PREPARE BIDDING DOCUMENTS BEFORE INVITING BIDS**

## CORE CONTENTS OF BIDDING DOCUMENTS

- Nature, Timeframe & Technical Specifications
- Qualification Criteria (Section 10)
- Site Visit & Pre-Bid Meeting Details
- Instructions for Bid Submission
- Price Components, Currencies & Exchange Rate Basis
- Bid Evaluation & Bidder Selection Criteria
- Preference for Domestic Goods / Local Entrepreneurs
- Lots / Packages & Evaluation Method
- Evaluation Method for Alternative Proposals
- Details of Partial Bidding
- Bid Validity Period

## SECURITY & GUARANTEE DETAILS

### BID SECURITY




Validity shall exceed bid validity period by 30 days.

**PERFORMANCE GUARANTEE** (BID Security)

### PERFORMANCE GUARANTEE
(Performance Security)



**5% of bid price**
IF bid is up to 15% below cost estimate.
**AND**
**5% of bid price +** 50% of amount below 15% theeshold IF bid is > 15% below cost estimate.

## PROVISION OF BIDDING DOCUMENTS



- On Payment of Prescribed Fee.
- **Where Prequalification is Required:** Only to Prequalified Applicants.
- **No Fee Charged** IF issued through Electronic Procurement System.




## ADDITIONAL CONTENTS OF BIDDING DOCUMENTS

- Bidder's Financial, Technical & Ongoing Contracts
- Past Performance & Goods Details (Operation, Maintenance, Disposal)
- Contract Terms (Section 52) & Commencement
- Conflict of Interest, Fraud & Corruption Provisions
- Right to Seek Review of Procurement Decisions
- Single-Envelope or Two-Envelope Submission
- Other Matters (PPMO Prescribed)
- Joint Venture Contracts: All members jointly responsible
- Weightage for Technical & Financial Proposals (Mark-based)

**BASED ON PUBLIC PROCUREMENT REGULATIONS**

## Section 14: Invitation to bids

1. A notice for invitation to bids or pre-qualification proposals shall be published in a daily newspaper of national circulation, and in the case of an international bidding, it may also be published in any international communication media. Provided that, in a situation where the invitation for bids or pre-qualification assessment proposals has been made through the electronic procurement system, the notice of such invitation shall not be required to be published through media other than the electronic procurement system. (added)
2. In a situation where an invitation for bids or pre-qualification assessment proposals is not made through the electronic procurement system pursuant to sub-section (१), the concerned public entity shall place such notice on the website of the Public Procurement Monitoring Office (PPMO), and if the concerned public entity has its own website, it shall be placed on that website, and if it does not have one, it shall also be placed on the notice board of the concerned public entity. (replaced)
3. A notice on the invitation to bid or prequalification proposal shall contain the following matters:

(a) The name and address of the public entity inviting bid,
(b) The nature of and time limit for the act of procurement and the place for the delivery of the goods to be supplied, the services to be delivered and the work to be executed,
(c) Where the bid security is required, the amount and validity period thereof,
(d) Where the bid security is required, the validity period of the bid,
(e) The place where and the manner how the bidding documents or prequalification documents can be obtained, and the fees payable therefor,
(f) The place, manner, the last date and time for the submission or forwarding of the bidding documents or prequalification documents,
(g) The place, date and time for the opening of bids, and the matter that the bidders or their authorized agents will be invited to attend the opening of bid, and
(h) Such other matters as prescribed.

4. In publishing the notice referred to in sub-section (1), there shall be given a period of at least 21 days in the case of a notice of invitation to national bidding or prequalification proposals, and of at least 30 days in the case of a notice of invitation to international bidding or prequalification proposals.

4A. Where it is required to make re-invitation to bid or prequalification proposal because no bid or prequalification proposal is submitted within the period given for the submission of bid or prequalification proposal pursuant to sub-section (4) except for the circumstance referred to sub-section (5) of Section 26, or though submitted, no bid or proposal is substantially responsive, the public entity may make re-invitation to bid or prequalification proposal by giving a period of at least 7 days in the case of national bidding or prequalification proposals, and of at least 15 days in the case of international bidding or prequalification proposals, as per necessity.

## Section 14: Invitation to bids

4B. Where no bid or prequalification proposal is submitted even within the period given pursuant to sub-section (4a) or though submitted, no bid or proposal is substantially responsive, and the public entity will suffer loss or damage or any of its functions will get stopped if procurement is not made immediately, the public entity may, specifying its justification and with the approval of the one level higher authority, make procurement by making re-invitation to bid by giving a period not exceeding 3 days in the case of national bidding or prequalification proposals or by selecting and following any procurement method pursuant to Section 8.

5. While stating the place from which the bidding documents or prequalification documents can be obtained pursuant to clause (e) of sub-section (3), provision shall be made so that such documents can be obtained from two or more public entities.

6. While stating the place to which the bidding documents or prequalification documents should be submitted or sent pursuant to clause (f) of sub-section (3), provision shall be made so that such documents is to be submitted or sent to only one public entity.

7. Where any public entity, bidder or proponent requests for security for submitting or sending the bid or prequalification proposal pursuant to sub-section (6), the concerned District Administration Office shall mandatorily make security arrangements immediately.

8. In making procurement through an international bidding, the public entity may give domestic preference to the Nepalese entrepreneurs and businesspersons as prescribed, and where domestic preference is to be so given, that matter to that effect shall be set forth in the notice on invitation to bid and the bidding documents. Provided that, in the case of procurement of a construction work through a national bidding, procurement of such work up to the prescribed cost estimate may be made by having competition between domestic bidders only.

8A. When a public entity makes a procurement, preference shall be given to domestic goods as prescribed. The matter of granting such preference shall be specified in the bidding documents. (added)

9. A foreign bidder shall, while submitting a bid, state whether the bidder has appointed any agent in the State of Nepal or not.

10. Where an agent has been appointed pursuant to sub-section (9), the details as prescribed in relation to the agent shall also be specified in the bid.

11. Notwithstanding anything contained elsewhere in this Section, where a foreign bidder enters into a joint venture with a domestic construction entrepreneur, in the case of procurement of a public construction work, preference may be given to such a foreign bidder.

*Note: Similar to Ordinance*

# SECTION 14: INVITATION TO BIDS

## 1. PUBLICATION OF NOTICE

- Notice inviting bids or prequalification proposals shall be published in a national daily newspaper.
- For international bidding, it may also be published in international media.
- If issued through the electronic procurement system (e-GP), publication in other media is not required.

## 2. ADDITIONAL DISPLAY (If not through e-GP)

- On the website of the Public Procurement Monitoring Office (PPMO).
- On the website of the public entity, if available.
- On the notice board of the public entity, if it has no website.

## 3. CONTENTS OF INVITATION NOTICE

- Name and address of the public entity.
- Nature, time limit, and place of procurement.
- Bid security amount and validity, where required.
- Bid validity period.
- Place, manner, and fee for obtaining bidding or prequalification documents.
- Place, manner, deadline, and time for submission or forwarding.
- Date, time, and place for opening of bids and invitation to bidders or their authorized agents.
- Such other matters as prescribed.

## 4. MINIMUM PERIOD FOR INVITATION

| NATIONAL BIDDING / PREQUALIFICATION | INTERNATIONAL BIDDING / PREQUALIFICATION |
|---|---|
| 21 DAYS (Minimum) | 30 DAYS (Minimum) |

## 4A. RE-INVITATION (If required)

If no bid/proposal is received or none is substantially responsive (except as in Section 26(5)).

| NATIONAL | INTERNATIONAL |
|---|---|
| At least 7 DAYS | At least 15 DAYS |

## 4B. URGENT RE-INVITATION / OTHER METHOD

If re-invitation also fails and immediate procurement is necessary to avoid loss, damage or disruption of functions.

Re-invite with a period not exceeding **3 DAYS** (National Bidding)

OR

Use any procurement method under Section 8.

With written justification and approval of one level higher authority.

## 5. AVAILABILITY OF BIDDING DOCUMENTS

Documents shall be available from two or more public entities.

## 6. SUBMISSION OF BIDS/PROPOSALS

Bids or prequalification proposals shall be submitted to only one public entity.

## 7. SECURITY FOR SUBMISSION

If requested, the District Administration Office shall immediately provide security for bid submission.

## 8. PREFERENCES

In international bidding, preference may be given to Nepalese entrepreneurs and businesspersons, as prescribed.

Preference shall be given to domestic goods, as prescribed. This shall be specified in the bidding documents.

In national bidding for construction works up to the prescribed cost estimate, competition may be limited to domestic bidders only.

## 9. FOREIGN BIDDER – AGENT IN NEPAL

A foreign bidder shall state whether it has appointed an agent in Nepal.

## 10. DETAILS OF AGENT

If an agent is appointed, prescribed details of the agent shall be specified in the bid.

## 11. JOINT VENTURE PROVISION

If a foreign bidder enters into a joint venture with a domestic construction entrepreneur for public construction work, such a bidder may be given preference.

**KEY TAKEAWAY** | The invitation to bids must be transparent, widely publicized, and contain all essential information to ensure fair competition, provide equal opportunity, and achieve value for money in public procurement.

# Evaluation, Award & Cancellation

| Sec. | Section Name | Change Type | Vs. Ordinance | Summary of Amendment |
|---|---|---|---|---|
| 25 | Evaluation of bids | **Amendment** | **Similar** | New "average bid amount" selection method for single- and two-envelope evaluation; bars bids >30% below estimate. |
| 26 | Rejection of bids / cancellation | **Amendment** | **Similar** | Allows negotiated price reduction when all bids exceed estimate, with a bar on relaxing specifications or quality. |
| 27 | Acceptance of bid and contract | **Amendment** | **Similar** | Lottery for tied average bids; tie-break rule; updated fallback sequencing where a selected bidder defaults. |
| 30 | Short-list for consultancy EOI | **Amendment** | **Similar** | Exempts e-procurement expression-of-interest notices from separate print publication. |
| 36 | Rejection of proposal / cancellation | **Amendment** | **Similar** | Allows selecting the next-highest-marked proposer instead of cancelling the whole process. |
| 38 | Procurement contract to be concluded | **Amendment** | **Not in Ordinance** | Updated default fallback sequence; winning consultant must furnish professional liability insurance. |

# Section 25: Evaluation of bids

1. All the submitted bids other than those set aside for non-entertainment pursuant to Section 24 shall be included for evaluation.
2. Where a bid is found containing minor deviations in the matters such as the technical specifications, descriptions and characteristics etc. so as not to reject the bid, the value of such deviations shall be quantified, to the extent possible, and included in the evaluation of bids pursuant to sub-section (1).
3. Where the value of minor deviations referred to in sub section (2) exceeds fifteen percent of the bid price of the bidder, such a bid shall be deemed to be substantially non-responsive, and such a bid shall not be included for evaluation. Explanation: For the purposes of this Section, the words "minor deviations" mean such deviations that do not materially depart from the matters such as the technical specifications and descriptions set forth in the bidding documents.
4. Where an invitation to bid has been made after the determination of prequalification, the bids submitted by the bidders other than the pre-qualified bidders shall not be included in the evaluation to be made under sub-section (1).
5. The evaluation of the technical proposal of a bid shall be carried out in accordance with the criteria and method specified in the bidding documents. (replaced)

5A. In a situation where a single-envelope system is adopted, the average bid amount of the bidders found responsive during the examination of bids pursuant to Section 23 shall be determined, and the bid that is closest to such average bid amount and is not substantially higher than the cost estimate shall be identified. (added)

5B. It shall be examined whether the qualifications of the bidder submitting the bid determined under sub-section (5a) conform to the qualification evaluation criteria specified in the bidding documents. (added)

6. In procurement where bids are invited in two envelopes, the technical proposal envelope shall be opened first and the submitted proposal shall be evaluated pursuant to sub-section (5). (replaced)

7. Only the financial proposal of the substantially responsive bidder who qualifies in the technical proposal evaluation carried out under sub-section (6) shall be opened and evaluated. (replaced)

7A. While evaluating the financial proposal under sub-section (7), the average of the bid amounts quoted by the substantially responsive bidders shall be determined, and the bid closest to that average amount and not substantially higher than the cost estimate shall be determined as the successful bid. (added)

7B. While carrying out evaluation under this Section, a bidder who quotes an amount lower than the approved cost estimate by more than thirty percent shall be removed from the evaluation process. (added)

8. The evaluation committee shall prepare an evaluation report specifying the basis, manner and reasons for selection of the evaluation carried out under this Section, and submit it to the public entity. (replaced)

9. Where bids have been invited with weighting assigned separately to the technical and financial proposals, evaluation shall be carried out as prescribed, and the bid of the bidder who obtains the highest marks without quoting a bid amount substantially lower than the cost estimate shall be determined as the successful bid. (added)

*Note: Similar to Ordinance*

# SECTION 25: EVALUATION OF BIDS

## 1. Evaluation of eligible bids

All submitted bids other than those set aside for non-entertainment under Section 24 shall be included for evaluation.

## 2. Minor deviations

Where a bid contains minor deviations in:

- Technical specifications;
- Descriptions;
- Characteristics; etc.

The value of such deviations shall, to the extent possible, be quantified and included in the bid evaluation.

## 3. Minor deviations exceeding 15%

Where the value of minor deviations under Sub-section (2) exceeds 15% of the bidder's bid price:

The bid shall be deemed substantially non-responsive.

Such bid shall not be included in evaluation.

Explanation: Minor deviations mean deviations that do not materially depart from the technical specifications, descriptions or other requirements set out in the bidding documents.

## 4. Pre-qualified bidders only

Where bidding is invited after prequalification:

Bids submitted by non-prequalified bidders shall not be included in evaluation.

## 5. Evaluation of technical proposal

Technical proposals shall be evaluated according to the criteria and method specified in the bidding documents.

## 8. Evaluation report (Replaced)

The Evaluation Committee shall prepare an evaluation report specifying:

- Basis of evaluation;
- Manner of evaluation; and
- Reasons for selection.

The report shall be submitted to the public entity.

## 5A. Single-envelope system (Added)

Where a single-envelope system is adopted:

- Determine the average bid amount of all responsive bidders after examination under Section 23.
- Identify the bid:
  - Closest to the average bid amount; and
  - Not substantially higher than the cost estimate.

## 5B. Qualification verification

Verify whether the bidder identified under Sub-section (5A) satisfies the qualification evaluation criteria specified in the bidding documents.

## 6. Two-envelope procurement

In procurement using the two-envelope system:

The technical proposal envelope shall be opened first.

Technical proposals shall be evaluated under Sub-section (5).

## 7. Opening of financial proposal (Replaced)

Only the financial proposal of the substantially responsive bidder who qualifies in the technical evaluation under Sub-section (6) shall be opened and evaluated.

## 7A. Financial proposal evaluation (Added)

While evaluating financial proposals under Sub-section (7):

- Determine the average bid amount of all substantially responsive bidders.
- The bid:
  - Closest to the average bid amount; and
  - Not substantially higher than the cost estimate shall be determined as the successful bid.

## 7B. Exclusion of abnormally low bids (Added)

A bidder quoting an amount more than 30% below the approved cost estimate shall be removed from the evaluation process.

## 9. Weighted technical and financial evaluation (Added)

Where bids are invited with separate weightage for technical and financial proposals:

- Evaluation shall be carried out as prescribed.
- The bidder:
  - Obtaining the highest marks; and
  - Not quoting a bid amount substantially lower than the cost estimate, shall be determined as the successful bidder.

Note: Similar to the Ordinance.

# Section 26: Rejection of bids or cancellation of procurement proceeding

1. The public entity may reject all the bids or cancel the procurement proceeding in the following circumstance:

a. If none of the bids is substantially responsive pursuant to clause (d) of sub-section (2) of Section 23,
a1. If the contract cannot be made with the bidder even after following the process referred to in sub-section (6) of Section 27,
b. where, in determining the bid under sub-section (5a), (7a) or (9) of Section 25, the bid amounts of all bidders are substantially higher than the cost estimate (replaced)
c. If the requisitioned goods, works, consultancy services or other services are no longer required.

1c. Notwithstanding sub-sections (1) and (1a), where the bid amount is substantially higher than the cost estimate, the public entity may negotiate with such bidder to reduce the bid amount and, with mutual consent within a maximum prescribed percentage, bring it within the approved cost estimate before proceeding with the procurement. (added)

1d. While reaching such consent to reduce the bid amount on the basis of the maximum negotiated percentage, no consent may be given that amends the specifications set out in the bidding documents or reduces quality standards. (added)

2. Notwithstanding anything contained in sub-section (1), no bid may be rejected or re-bidding invited for the sole reason that only a few bids are or only one bid is substantially responsive.

3. The public entity shall give a notice of the rejection of bids or cancellation of the procurement proceeding pursuant to sub-section (1), along with the reason for such rejection or cancellation, to all the bidders.

4. Where any bidder requests, within thirty days of the communication of the notice pursuant to sub-section (3), for the grounds for the rejection of all bids or cancellation of the procurement proceeding, the public entity shall give such information to that bidder.

5. In making re-invitation to bid because of the non submission of any bid in response to an invitation to bid or rejection of all bids or cancellation of the procurement proceeding pursuant to sub section (1), the modification shall also be made in the bidding documents, technical specifications, cost estimate and the terms and conditions of procurement contract as per necessity, upon reviewing the reasons for such rejection of bids or cancellation of the procurement proceeding.

6. Notwithstanding anything contained elsewhere in this Section, if it is proved that any bidder has submitted the bid, in mutual collusion with the bidders, such bids shall be rejected.

*Note: Similar to Ordinance*

# SECTION 26: REJECTION OF BIDS OR CANCELLATION OF PROCUREMENT PROCEEDING

## 1 CONDITIONS FOR REJECTION OR CANCELLATION

1. No bid is substantially responsive under Section 23(2)(d).
2. A contract cannot be concluded after following Section 27(6).
3. All bid prices are substantially higher than the cost estimate under Section 25(5A), (7A), or (9).
4. The required goods, works, consultancy services, or other services are no longer needed.

## 2 HANDLING SUBSTANTIALLY HIGHER BID PRICES

- Negotiate with the bidder to reduce the bid bid price within the maximum prescribed percentage... negotitation identification...
- Such negotiation shall not change the specifications or reduce the quality quality standards... specification,..

## 3 BIDS NOT TO BE REJECTED

Bids shall not be rejected, nor re-bidding invited, only because:

- Few bids are received
- Only one bid is substantially responsive

## 4 NOTIFICATION & REVIEW

Public entity shall notify all bidders, stating reasons for rejection or cancellation.

If a bidder requests reasons within 30 days, provide information.

## 5 RE-INVITING BIDS

Before re-inviting bids, review reasons and modify as necessary:

- Bidding documents
- Technical specifications
- Cost estimate
- Procurement contract terms and conditions

## 6 MUTUAL COLLUSION

If it is proved that bidders have submitted bids through mutual collusion, such bids shall be rejected.

## Section 27: Acceptance of bid and procurement contract

1. The public entity shall select for approval only the bid determined under sub-section (5a), (7a) or (9) of Section 25. (replaced)

1A. Notwithstanding sub-section (1), where in the evaluation under sub-section (5a) or (7a) of Section 25 two or more bidders quote amounts equal to the average, or under sub-section (9) of the same Section two or more bidders obtain equal marks, the bid to be selected for approval shall be chosen by lottery. (added)

1B. Where, under sub-section (5a) or (7a) of Section 25, two bidders are equally close to the average amount — one below and one above — the bid quoting the lower amount shall be selected for approval. (added)

2. The public entity shall, within seven days of the selection of the bid pursuant to sub-section (1), (1A) & (1B), serve a notice of the intent of acceptance of his or her bid to the concerned bidder. Information of the name, address of the bidder whose bid has been so selected and the price of the bid shall also be given to the other bidders as well.

3. If no bidder makes an application pursuant to Section 47 within the period of seven days of the notice referred to in sub-section (2), the bid of the bidder selected pursuant to sub-section (1) shall be accepted and a notice shall be given to the bidder to furnish the performance guarantee to enter into the procurement contract within fifteen days.

4. Within the period referred to in sub-section (3), the concerned bidder shall deposit a performance guarantee equal to five percent of the quoted amount and enter into the procurement contract under Section 52. (replaced)

5. Where the bidder fails, within that period, to deposit the guarantee and enter into the contract, the bid's earnest money shall be forfeited, and — under sub-section (5a) or (7a) of Section 25 — the bid next closest to the average amount, or — under sub-section (9) of the same Section — the bid of the bidder with the next-highest marks, shall be approved and the contract entered into. (replaced)

6. Where that bidder also fails to deposit the performance guarantee and enter into the contract, the process shall continue successively to the next-closest/next-highest-marked bidder, with notice given to enter into the procurement contract under this Section. (replaced)

6A. The public entity shall generally complete the act relating to the acceptance of bid and procurement contract within the bid validity period referred to in Section 20.

7. If, within thirty days of the notice referred to in sub-section (2), any bidder whose bid has been rejected requests for the ground for the rejection of his or her bid, the public entity shall give such information to that bidder.

*Note: Similar to Ordinance*

# SECTION 27: ACCEPTANCE OF BID AND PROCUREMENT CONTRACT

## 1 APPROVAL OF BID



The public entity shall approve only the bid determined under Section 25(5A), (7A), or (9).

## TIE-BREAKING RULES

Where Two or more bidders quote the same average amount or obtain equal marks... the successful bidder shall be selected by lottery.



Where two bids are equally close to the average amount (one above and one below), the lower lower bid shall be selected.

## 3 NOTICE OF INTENT

Within 7 days of selecting the successful bid:

- The public entity shall issue a notice of intent to accept the bid to the selected bidder.
- It shall also notify the other bidders of the selected bidder's name, address, and bid price.



## 4 CONTRACT FINALIZATION

If no application is made under Section 47 within 7 days of the notice:

- The bid shall be accepted, and
- The selected bidder shall be asked to furnish the performance guarantee and enter into the procurement contract within 15 days.




## 5 SELECTED BIDDER OBLIGATIONS

Within the 15-day period, the selected bidder shall:

- Furnish a performance guarantee equal to 5% of the quoted amount, and
- Enter into the procurement contract under Section 52.



## 5 SELECTED BIDDER OBLIGATIONS

Within the 15-day period, the selected bidder shall:

- Furnish a performance guarantee equal to 5% of the quoted amount, and
- Enter into the procurement contract under Section 52.



## 6 FAILURE OF SELECTED BIDDER

If the selected bidder fails to furnish the performance guarantee or sign the contract:

- The bid security (earnest money) shall be forfeited.
- The contract shall be offered to the next closest bidder...



If the next bidder also fails:

- The same process shall continue successively with the remaining eligible bidders.



## 7 BID VALIDITY PERIOD



The public entity shall generally complete the bid acceptance and procurement contract process within the bid validity period under Section 20.

## 8 REQUEST FOR GROUNDS

A rejected bidder may request the grounds for rejection within 30 days of receiving the notice, and the public entity shall provide the information.



# Section 30: Short-list to be prepared by soliciting expression of interest openly

1. If it is required to procure a consultancy service of which cost exceeds the prescribed amount, the public entity shall, in order to solicit the expression of interest from the persons, firms, organizations or companies who are interested in providing such consultancy services, publish a notice setting out the matters as prescribed in a newspaper of national circulation, giving a period of at least fifteen days.

Provided that —

(a) where consultancy services below the prescribed amount are procured, notice shall be published allowing the prescribed period;

(b) where an expression of interest is sought through the electronic procurement system, notice need not be published through any other means. (added)

2. Where an expression of interest is not invited through the electronic procurement system under sub-section (1), such notice shall also be posted on the concerned public entity's website, if any, and otherwise on the Public Procurement Monitoring Office's website. (replaced)

3. International expression of interest shall be invited in the following circumstance:

a. To procure a consultancy service the cost of which exceeds the prescribed amount,
b. If the consultancy service as requisitioned by the public entity is not available at the competitive price from more than one consultant within the State of Nepal,
c. If no proposal has been submitted in response to an invitation to national proposal for the procurement of a consultancy service, and the service is, therefore, required to be procured from any foreign consultant, or
d. If it is required to obtain the service from a consultant under the source of foreign assistance by soliciting international expression of interest in accordance with the agreement with the donor party.

4. While soliciting the expression of interest referred to in sub-section (3), a notice shall be published in English language.

5. The public entity shall, upon evaluation of, inter alia, the qualification, experience and capacity of the proponents who have submitted the expression of interest pursuant to sub-section (1) or (3), make selection of generally three to six intending proponents who can provide such consultancy service as prescribed and prepare a short-list of such proponents.

6. If it is required to procure a consultancy service the cost of which is less than the prescribed amount, the public entity may prepare a list of the persons, firms, organizations or companies that can provide such a service, upon fulfilling the procedures as prescribed, and shall solicit proposals pursuant to Section 31 from the persons, firms, organizations or companies included in that list, upon fulfilling the procedures as prescribed.

*Note: Similar to Ordinance*

# SECTION 30: SHORT-LIST TO BE PREPARED BY SOLICITING EXPRESSION OF INTEREST OPENLY

## 1. INVITATION FOR EXPRESSION OF INTEREST (EOI)

### NATIONAL EOI (Above Prescribed Amount)




Where the cost of consultancy services exceeds the prescribed amount, the public entity shall invite Expression of Interest (EOI) by publishing a notice in a national daily newspaper, allowing at least 15 days.



### BELOW PRESCRIBED AMOUNT



Where: Consultancy services are below the prescribed amount, the notice shall allow the prescribed period.

### ELECTRONIC EOI (e-GP)

EOI is invited through the electronic procurement system (e-GP), publication through other media is not required.




### ALTERNATE PUBLICATION

Where EOI is not invited through e-GP, the notice shall also be posted:



- On the public entity's website, if available; otherwise
- On the Public Procurement Monitoring Office (PPMO) website.



## 2. INTERNATIONAL EOI CONDITIONS



Consultancy cost exceeds the prescribed amount.



The required consultancy is not available competitively within Nepal.



No proposal is received in response to a national invitation.



Required under a foreign assistance agreement.




A notice inviting international EOI shall be published in English.

## 3. SHORT-LIST PREPARATION & PROCEDURE

### EVALUATION

After evaluating the qualifications, experience, and capacity of applicants, the public entity shall prepare a short-list of generally 3 to 6 proponents.







### PROCEDURE FOR SMALL VALUE

Where the consultancy cost is less than the prescribed amount:



The public entity may prepare a list of qualified consultants following the prescribed procedure.



- Proposals under Section 31 shall be invited only from those listed consultants.

# Section 36: Rejection of proposal and cancellation of procurement proceeding

(1) The public entity may reject all the proposals or cancel the procurement proceeding in the following circumstance:
(a) If all the received proposals are not substantially responsive to the terms of reference,
(b) If the cost offered by the selected proponent is substantially over the cost estimate and available budget,
(c) If the consultancy service is not required, or
(d) If it is proved that the proponent has submitted the proposal through mutual collusion.
Provided that the proposals of those proponents who have not colluded may be entertained.

(2) Notwithstanding sub-section (1), where the quoted amount of the selected proposer is substantially higher than the cost estimate and available budget, the public entity may, without cancelling the entire procurement process, select and approve — in order — the proposer obtaining the next-highest marks whose quoted amount is not substantially higher than the cost estimate and available budget. (added)

*Note: Similar to Ordinance*

# SECTION 36: REJECTION OF PROPOSAL AND CANCELLATION OF PROCUREMENT PROCEEDING

**The public entity may reject all proposals or cancel the procurement proceeding if:**

1. 

None of the proposals is substantially responsive to the terms of reference.

2. 

The quoted amount of the selected proposer is **substantially higher** than the cost estimate and available budget.

3. 

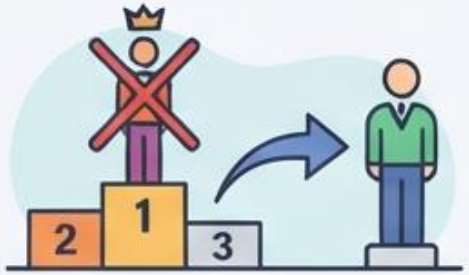
The consultancy service is no longer required.

4. 


It is proved that the proposer has submitted the proposal through **mutual collusion.**

**However, proposals of non-colluding proponents may still be considered.*

**Where the selected proposer's quoted amount is substantially higher than the cost estimate and available budget:**




The public entity may, **without cancelling** the procurement process, **approve the next highest-ranked proposer** whose quoted amount is **not substantially higher** than the cost estimate and available budget.

# Section 38: Procurement contract to be concluded

(1) The proposal of the proponent who has reached an agreement from the negotiations pursuant to Section 37 shall be selected for acceptance.
(2) The public entity shall, within seven days of the selection of the proposal pursuant to sub-section (1), give a notice of the intention of accepting the proposal to the proponent so selected and to the other short-listed proponents.
(3) Where no proposer files an application under Section 47 within seven days of the notice under sub-section (2), the proposal of the proposer selected under sub-section (1) shall be approved and notice given to deposit a performance guarantee within fifteen days to enter into the procurement contract. (replaced)
(4) Where the proposer appears within that period having deposited the performance guarantee, the contract shall be entered into under Section 52; the consultant shall deposit a performance guarantee equal to five percent of the amount quoted in the financial proposal. (replaced)
(5) Where the proposer fails to appear within the period having deposited the guarantee, the public entity shall negotiate under Section 37, in order, with the next-ranked proposer among those referred to in clauses (a), (b), (c) of sub-section (1) of Section 35, or, for clause (d), with the next lowest-cost proposer, and enter into the contract. (added)
(6) A consultant entering into a contract under this Section shall, within thirty days, submit professional liability insurance payable unconditionally to the public entity covering the full contract amount. (added)
(7) Other provisions relating to professional liability insurance shall be as prescribed. (added)

*Note: Introduced in Act, not in Ordinance*

# SECTION 38: PROCUREMENT CONTRACT TO BE CONCLUDED

## 1 PROPOSAL SELECTED FOR ACCEPTANCE




The proposal of the proposer who reaches an agreement through negotiations under Section 37 shall be selected for acceptance.

**WITHIN 7 DAYS**

## 2 ISSUE NOTICE OF INTENTION TO ACCEPT




The public entity shall issue a notice of intention to accept the proposal to the selected proposer and the other shortlisted proponents.

**IF NO APPLICATION IS MADE UNDER SECTION 47 WITHIN 7 DAYS**

## 3 PROPOSAL APPROVED & CONTRACT REQUEST




The proposal shall be approved, and
The selected proposer shall be asked to furnish the performance guarantee and enter into the procurement contract within 15 days.

**WITHIN 15-DAY PERIOD**

## 4 FURNISH GUARANTEE & SIGN CONTRACT




Within the 15-day period, the selected proposer shall:

- Furnish a performance guarantee equal to
- Enter into the procurement contract under Section 52.

**IF SELECTED PROPOSER FAILS TO FURNISH GUARANTEE OR SIGN CONTRACT**

## 5 NEGOTIATE WITH NEXT PROPOSER




The public entity shall negotiate with the next-ranked proposer under Section 35(1)(a), (b), or (c), or the next lowest-cost proposer under Section 35(1)(d), and enter into the contract.

**WITHIN 30 DAYS OF SIGNING**

## 6 SUBMIT PROFESSIONAL LIABILITY INSURANCE




A consultant entering into the contract shall, within 30 days, submit professional liability insurance:

- Covering the full contract amount, and
- Payable unconditionally to the public entity.

*[3]Other provisions relating to professional liability insurance shall be as prescribed.**

# Special Procurement Methods

| Sec. | Section Name | Change Type | Vs. Ordinance | Summary of Amendment |
|---|---|---|---|---|
| 40 | Sealed quotations | Amendment | Similar | Minimum 7-day publication period; no separate publication needed for e-procurement invitations. |
| 41 | Direct procurement | Amendment | Not in Ordinance | New grounds: government-hosted international events, foreign legal representation, President/PM-led foreign visits. |
| 41A | Government e-Marketplace | New | Similar | Direct procurement of listed goods/services up to a prescribed amount; suppliers publish prices on the platform. |
| 42A | Essential items (oil, medicine, fuel) | New | Similar | Council of Ministers-approved procedure governs cost estimation, qualification, bids and contract terms. |
| 43A | Purchase of land | New | Similar | Allows land purchase for commercial purposes; public-purpose acquisition still governed by land law. |
| 44 | Users' committee / beneficiary group | Replaced | Similar | Restates eligibility criteria; adds skill-centre and micro/small-enterprise provisions for local employment. |
| 45 | Force account execution | Amendment | Similar | Updates qualifying circumstances — minor, urgent, sensitive or continuity-critical work. |

## Section 40: Provisions relating to sealed quotations

(1) The ceiling of the amount of the goods, construction work or other service that can be procured through sealed quotations shall be as prescribed.

(2) Prior to inviting sealed quotations, a form of sealed quotation stating clearly the specifications, quality, quantity of the goods, construction work or other service to be procured, the terms and conditions of, and the time for, their supply, and other necessary matters shall be prepared.

(3) In inviting sealed quotations, a notice shall be published in a national or local level newspaper by giving a period of at least seven days (replaced). Provided that where a sealed quotation is invited through the electronic procurement system, notice of such invitation need not be published through any other means. (added)

(4) A sealed quotation once submitted cannot be withdrawn or amended.

(5) The lowest evaluated sealed quotation fulfilling the terms and conditions referred to in sub-section (2) and falling within the cost estimate shall be accepted.

(6) Other provisions relating to sealed quotations shall be as prescribed.

*Note: Similar in Ordinance*

# SECTION 40: PROVISIONS RELATING TO SEALED QUOTATIONS

## 1. MAXIMUM VALUE PRESCRIBED




The **maximum value** of goods, construction works, or other services that may be procured through sealed **quotations** shall be as prescribed.

## 2. PREPARE SEALED QUOTATION FORM





- Specifications, quality, and quantity
- Terms and conditions
- Delivery/completion time
- Other necessary details

Before inviting sealed quotations, the public entity shall **prepare a sealed quotation form** specifying:

## 3. PUBLISH NOTICE (AT LEAST 7 DAYS)







A notice inviting sealed quotations shall be published in a **national or local newspaper, allowing at least 7 days**.

Where sealed quotations are invited through the **electronic procurement system (e-GP), publication through other media is not required**.

## 4. IRREVOCABLE SUBMISSION

A sealed quotation, once submitted, **cannot** be withdrawn or amended.




## 5. EVALUATION & ACCEPTANCE







The lowest evaluated sealed quotation that:

- Meets the prescribed terms and conditions, and
- Falls within the cost estimate, shall be accepted.

## 6. OTHER PROVISIONS



Other provisions relating to sealed quotations shall be as prescribed.

Source: Section : Provisions Relating to Sealed Quotations

## Section 41: Provisions relating to direct procurement

(1) Notwithstanding anything contained elsewhere in this Act, goods or consultancy service or other service may be procured or construction work may be executed directly in the following circumstance:

(a) Low-value procurement costing up to the prescribed amount,

(b) If only one supplier, construction entrepreneur, consultant or service provider has the technical efficiency or capacity to fulfill the procurement requirements,

(c) If only one supplier has the right to supply the goods to be procured and no other appropriate alternative is available,

(d) If it is required to procure additional goods or service of proprietary nature within the prescribed limit from the existing supplier or official, consultant or service provider after it has been proved that if the existing supplier, consultant or service provider is changed to replace or extend the existing goods or services or the spare parts of the installed machinery, the goods or service existing in the public entity cannot be replaced or changed,

(d1) If one public entity is required to make procurement from another public entity,

(d2) If it is required to procure any goods or service from any international inter-governmental organization at the rate specified by that organization,

(d3) If it is requirement to procure in a special circumstance,

(e) If it is required to procure the essential construction work, goods, consultancy service or other service within the limit as prescribed which are not included in the initial contract due to failure to foresee and which are difficult to be completed by separating them from the initial contract due to technical or financial reasons, or

(f) If the service of a particular consultant having any unique qualification is immediately required for the concerned task or if there exists the indispensable reason for obtaining the service from the same consultant.

(g) where procurement is required for organizing an international conference, convention, seminar or meeting to be hosted by Nepal under a decision of the Government of Nepal, Council of Ministers; (added)

(h) where it is necessary to appoint an expert or legal practitioner to argue, plead or advise on behalf of the public entity in a dispute-resolution process outside Nepal to which it is a party; (added)

(i) where procurement is required for a foreign visit undertaken under the leadership of the President or the Prime Minister. (added)

(2) Notwithstanding anything contained elsewhere in this Section, procurement to be made pursuant to clauses (b), (c), (e) and (f) of sub-section (1) shall be made pursuant to the decision of the Government of Nepal, Council of Ministers, on the basis of the recommendation of the prescribed committee in the case of the public entity referred to in sub-clause (1) of clause (b) of Section 2, and pursuant to the decision of the supreme executive body of that entity in the case of the other public entity.

(2a) Notwithstanding sub-section (2), procurement under clause (h) of sub-section (1) may, for a public entity under sub-clause (1) of clause (b) of Section 2, be made directly on the decision of the Secretary or equivalent official head, and, for other public entities, on the decision of the highest executive body. (added)

(3) If it is required to make direct procurement pursuant to sub-section (1), the public entity shall invite a written rate or proposal from only one supplier, construction entrepreneur, consultant or service provider after preparing written description as prescribed of the special matter concerning its requirements and quality, quantity, terms and conditions and time of supply, and may make procurement through negotiations as required.

*Note: Introduced in Act, not in Ordinance*

# SECTION 41: PROVISIONS RELATING TO DIRECT PROCUREMENT

## CIRCUMSTANCES ALLOWING DIRECT PROCUREMENT

### LOW-VALUE PROCUREMENT



Low-value procurement up to the prescribed amount.

### SOLE TECHNICAL CAPABILITY



Only one supplier, contractor, consultant, or service provider has the required technical capability.

### SOLE SUPPLY RIGHT



Only one supplier has the right to supply the required goods, with no suitable alternative.

### PROPRIETARY GOODS




Additional proprietary goods or services are required from the existing supplier/he prescribed limit, where replacement is not technically or financially feasible.

### PUBLIC ENTITY TO PUBLIC ENTITY



Procurement by one public entity from another public entity.

### INTERNATIONAL ORGANIZATION

Procurement of goods or services from an international inter-governmental organizatital organization at its specified rates.

### SPECIAL CIRCUMSTANCE



Procurement required in a special circumstance.

### ESSENTIAL ADDITIONAL WORKS



Essential additional works, goods, consultancy servicex, ar other cervices within the prescribed limit that were unforeseeable and cannot be separated from the original contract for technical or financial reasons.

### IMMEDIATE CONSULTANT REQUIREMENT



Immediate requirement of a consultant with unique qualifications, or where the same consultant's services are indispensable.

### INTERNATIONAL CONFERENCE



Procurement required for an international conference, convention, seminar, or meeting hosted by Nepal under a Council of Ministers' decision.

### EXPERT APPOINTMENT OUTSIDE NEPAL



Appointment of an expert or legal practitioner for dispute resolution proceedings outside Nepal.

### FOREIGN VISIT



Procurement required for a foreign visit led by the President or the Prime Minister.

## APPROVAL AUTHORITY

Specific Clauses

### Clauses (b), (c), (e), (f)

- **Council of Ministers** — On the recommendation of the prescribed committee, for public entities under Section 2(b)(1).
- **Highest Executive Body** — For other public entities.

### Clause (h)

- **Secretary or equivalent head** — For public entities under Section 2(b)(1).
- **Highest Executive Body** — For other public entities.

## PROCEDURE FOR DIRECT PROCUREMENT



### PREPARE WRITTEN DESCRIPTION

Prepare a written description of the requirements, quality, quantity, terms, conditions, and delivery time.



### INVITE WRITTEN QUOTATION

Invite a written quotation or proposal from only one supplier, contractor, consultant, or service provider.




### CONDUCT NEGOTIATIONS

Conduct negotiations, where necessary, before making the procurement.

Source: Section 41, Public Procurement Act (for illustrative purposes only)

## Section 41A: Provisions relating to the Government e-Marketplace (new section added)

(1) Notwithstanding Section 41, goods and services published on the Government e-Marketplace prepared by the Public Procurement Monitoring Office may be procured directly up to the prescribed amount.
(2) Producers, suppliers and service providers shall publish details of their products and services, with prices, on this system.
(3) The procedure for publishing and procuring through the e-marketplace shall be as prescribed.

*Note: Similar in Ordinance*

## Section 42A: Special provisions relating to procurement (new section added)

(1) Notwithstanding anything else in this Act, a public entity procuring oil, medicine, fuel or similarly essential items shall follow the procedure approved by the Government of Nepal, Council of Ministers, on:
(a) cost estimate and its approval;
(b) price escalation;
(c) bidder qualification;
(d) submission of bids; and
(e) matters to be included in the procurement contract.
(2) Except for matters covered by the approved procedure, other procedures shall follow this Act and its Rules.

*Note: Similar in Ordinance*

## Section 43A: Provisions relating to purchase of land (new section added)

A public entity needing to purchase land for a commercial or business purpose may do so by adopting the prescribed procedure. Provided that acquisition of land for a public purpose shall be governed by the prevailing law on land acquisition.

*Note: Similar in Ordinance*

# GOVERNMENT PROCUREMENT ACT: KEY PROVISIONS

## SECTION 41A: PROVISIONS RELATING TO THE GOVERNMENT e-MARKETPLACE



Notwithstanding Section 41, goods and services listed on the Government e-Marketplace maintained by the Public Procurement Monitoring Office (PPMO) may be procured directly up to the prescribed amount.



Producers, suppliers, and service providers shall publish the details and prices of their goods and services on the e-Marketplace.



The procedure for publication and procurement through the e-Marketplace shall be as prescribed.

## SECTION 42A: SPECIAL PROVISIONS RELATING TO PROCUREMENT



Notwithstanding anything contained elsewhere in this Act, procurement **of oil, medicine, fuel,** or other essential items shall follow the procedure approved by the Government of Nepal, Council of Ministers regarding:



Cost estimate and its approval.

Price escalation.



Bidder qualification.



Submission of bids.



Matters to be included in the procurement contract.

Matters not covered by the approved procedure shall be governed by this Act and the Rules.

## SECTION 43A: PROVISIONS RELATING TO PURCHASE OF LAND




A public entity requiring land for a commercial or business purpose may purchase it by following the prescribed procedure.



Acquisition of land for a public purpose shall be governed by the prevailing law relating to land acquisition.

Source: Provided text, for illustrative purposes.

## Section 44: Works may be carried out through a users' committee or beneficiary group (section replaced)

(1) Construction works within the prescribed cost estimate, of the following kind, may be carried out through a users' committee or beneficiary group:
(a) work not requiring complex technical capacity;
(b) work of a nature that enhances cost-effectiveness, quality and sustainability;
(c) work accomplished using local resources, means and skills;
(d) construction work whose principal objective is to create local employment, allowing participation of the benefiting community; or
(e) post-construction operation and maintenance suitable for a users' committee or beneficiary group.

(2) Skill centres and micro/small enterprises may be established and operated to create employment in such works.

(3) The procedure for works under sub-section (1) and for establishing skill centres and micro/small enterprises under sub-section (2) shall be as prescribed.

*Note: Similar in Ordinance*

# SECTION 44: WORKS MAY BE CARRIED OUT THROUGH A USERS' COMMITTEE OR BENEFICIARY GROUP

**Construction works within the prescribed cost estimate may be carried out through a Users' Committee or Beneficiary Group where:**

## NO COMPLEX TECHNICAL CAPACITY



The work does not require complex technical capacity.

## PROMOTES COST-EFFECTIVENESS, QUALITY, & SUSTAINABILITY



It promotes cost-effectiveness, quality, and sustainability.

## USES LOCAL RESOURCES, MEANS, & SKILLS





It uses local resources, means and skills.

## CREATES LOCAL EMPLOYMENT & PARTICIPATION



Its primary objective is to create local **employment** with participation of the beneficiary community.

## SUITABLE FOR POST-CONSTRUCTION O&M



Post-construction operation and maintenance is suitable for a **Users' Committee** or **Beneficiary Group**.

## SUPPORTING ENTERPRISES




Skill centres and micro/small enterprises may be established and operated to create employment in such works.

## PROCEDURES



The procedures for:

- Carrying out works through a **Users' Committee or Beneficiary Group**, and
- Establishing skill centres and micro/small enterprises, shall be as prescribed.

# Section 45: Work may be, or cause to be, executed by force account

(1) A public entity may carry out or cause to be carried out work through force account method in the following circumstances:
(a) minor maintenance, ordinary repair, or cleaning-type work of a general nature for which a cost estimate is difficult to prepare;
(b) work that must be carried out only by persons familiar with an existing service so as not to disrupt it;
(c) work that must be carried out immediately due to a special situation;
(d) work that is sensitive from a risk and security standpoint; or
(e) other work as prescribed. *(replaced)*

(2) The procedures to be followed for executing or causing to be executed the work pursuant to sub-section (1) shall be as prescribed.

*Note: Similar in Ordinance*

# SECTION 45: WORK MAY BE EXECUTED BY FORCE ACCOUNT

**A public entity may execute work through the force account method in the following circumstances:**

## 1 MINOR MAINTENANCE & REPAIRS



Minor maintenance, ordinary repairs, or routine cleaning where a cost estimate is difficult to prepare.

## 2 FAMILIARITY WITH SERVICE TO AVOID DISRUPTION



Work that must be performed by persons familiar with the the existing service to avoid disruption.

## 3 IMMEDIATE WORK DUE TO SPECIAL SITUATION



Work that must be carried out immediately due to a special situation.

## 4 RISK OR SECURITY SENSITIVITY




Work involving risk or security sensitivity.

## 5 OTHER PRESCRIBED WORKS



Other works as prescribed.

**PROCEDURE**

The procedure for executing work through the force account method shall be as prescribed.

Source: Seorion New Viaseo, For illustrative purposes. For illustrative purposes.

# Contract Administration

| Sec. | Section Name | Change Type | Vs. Ordinance | Summary of Amendment |
|---|---|---|---|---|
| 50 | Method of review | Amendment | Similar | Public entity must implement review committee decisions; non-compliant officials referred for departmental action. |
| 52A | Provision relating to advance | Amendment | Similar | Restates 20% mobilization-advance ceiling; requires a key-activity schedule before release. |
| 52B | Social Security Fund enrolment | New | Not in Ordinance | Contracts must provide for enrolling labour in the Social Security Fund; payments via bank accounts. |
| 52C | Sub-contractors & ancillary suppliers | New | Not in Ordinance | Requires prior notice and written sub-contracts; main contractor stays liable; unauthorized engagement penalized. |
| 52D | No pressure to relinquish rights | New | Not in Ordinance | Voids relinquishment of contract rights obtained through pressure, threats or withheld payment. |
| 54 | Variation Order | Replaced | Similar | Restates tiered monetary authority (by rank) for approving variation orders. |
| 55 | Price adjustment in contract | Amendment | Not in Ordinance | Special price-adjustment mechanism for abnormal cost spikes from war, blockade or supply-chain disruption. |

# Section 50: Method of review

(1) A bidder or consultant who makes an application for review referred to in Section 49 before the review committee shall make such an application within seven days in the case of clause (a) of Section 49 and within a period of thirty days from the date of conclusion of such a contract in the case of clause (b) of the same Section.
(2) The review committee shall, not later than three days of the receipt of the application pursuant to sub-section (1), notify, by sending a copy of the application and of the document, if any, attached with such an application to the concerned public entity to provide information about the action taken in that respect and comments thereon.
(3) The public entity shall, not later than three days of the receipt of the notice referred to in sub-section (2), provide the review committee with information and comments related thereto.
(4) The review committee shall, not later than thirty days of the receipt of the application pursuant to sub-section (1), make a decision on the basis of the information and comments received pursuant to sub-section (3), the evidence, document submitted by the applicant along with the application and, if necessary, by hearing both the parties.
(5) In making a decision pursuant to sub-section (4), the review committee may make the decision as follows: (a) to dismiss the application, (b) if the procurement contract has not been entered into, to give orders as prescribed, or (c) if the procurement contract has already been entered into, to recommend payment of a reasonable amount to the applicant.
(5a) The concerned public entity shall implement the decision of the Public Procurement Review Committee made under sub-section (5). (added)
(5b) Where the concerned official fails to implement the decision, the bidder or proposer who filed the application under Section 49 may apply to the Public Procurement Review Committee. (added)
(5c) Where such an application is registered and, upon inquiry, the decision is found not to have been implemented, the Committee may write to the authority empowered to take departmental action under prevailing law against the official. (added)
(6) An applicant who makes an application for review pursuant to this Section shall furnish security as prescribed.
(7) If the application is dismissed pursuant to clause (a) of sub-section (5), the amount of such security shall be forfeited.

*Note: Similar in Ordinance*

# SECTION 50: METHOD OF REVIEW

## 1. APPLICATION FILING

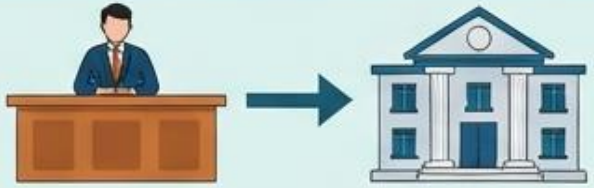


Within **7 days** in the case of Section 49(a).

Within **30 days** from the date of contract conclusion in the case of Section 49(b).

A bidder or consultant shall file an application for review before the Review Committee:

## 2. NOTICE TO PUBLIC ENTITY



Within **3 days** of receiving the application, the Review Committee shall send a copy of the application and supporting documents to the concerned public entity, requesting its information and comments.

The public entity shall provide the required information and comments within **3 days** of receiving the notice.

## 3. DECISION & ORDERS

The Review Committee shall decide the application within **30 days** of its receipt, based on:

- Information and comments from the public entity,
- Evidence and documents submitted by the applicant,
- Hearing both parties, if necessary.

The Review Committee may:

**Dismiss** the application.

If the procurement contract has not been concluded, issue prescribed orders.

If the procurement contract has already been concluded, recommend payment of reasonable compensation to the applicant.

## SECURITY DEPOSIT



The applicant shall furnish the prescribed security while filing the review application.

If the application is dismissed, the security shall be forfeited.

## IMPLEMENTATION & NON-COMPLIANCE



The concerned public entity shall implement the decision of the Review Committee.

If the decision is not implemented:

- The bidder or proposer may apply to the Review Committee.
- If non-compliance is confirmed, the Committee may recomnend departmental action against the concerned official.

## Section 52A: Provision relating to advance

(1) After entering into a procurement contract, a public entity may — taking a bank guarantee, having regard to necessity and reasonableness — provide a mobilization advance of up to twenty percent of the contract amount to the construction entrepreneur, supplier or service provider for site preparation, temporary camps, labour arrangements and housing, tension-equipment management (for construction works) and for supply of goods and consultancy services. Before providing such advance, the public entity shall require submission of the key activities and their schedule. (replaced)

(2) In making payment of advance pursuant to sub-section (1), the amount not exceeding half the amount of the approved advance may be paid for the first time and the remaining amount may be paid on the basis of the work progress.

(3) Except in the circumstance referred to in sub-section (5) of Section 10, the amount of advance shall be payable only through a bank account opened separately for the work contracted.

(4) The supplier, construction entrepreneur or service provider shall commence the work not later than thirty days of the date of receipt of the advance for the first time.

(5) Updated details of the purpose for which the amount of advance referred to in sub-section (2) has been spent shall be provided as prescribed to the concerned public entity.

(6) If the advance paid pursuant to this Section is not found to have been used in the concerned work, the advance bank guarantee taken pursuant to sub-section (1) shall be forfeited.

(7) Other provisions relating to advance shall be as prescribed.

*Note: Similar in Ordinance*

# SECTION 52A: PROVISION RELATING TO ADVANCE

## 1. MOBILIZATION ADVANCE: ELIGIBILITY & PURPOSE



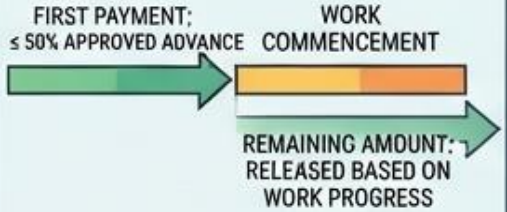

After entering into a procurement contract, the public entity may, against a bank guarantee, provide a mobllization advance of up to 20% of the contract amount, considering necessity and reasonableness, for:

## 2. PRE-REQUISITE: SUBMISSION



Before releasing the advance, the contractor, supplier, or service provider shall submit the key activities and implementation schedule.

## 3. PHAGED RELEASE




The first advance payment shall not exceed half of the approved advance, and the remaining amount shall be released based on work progress.

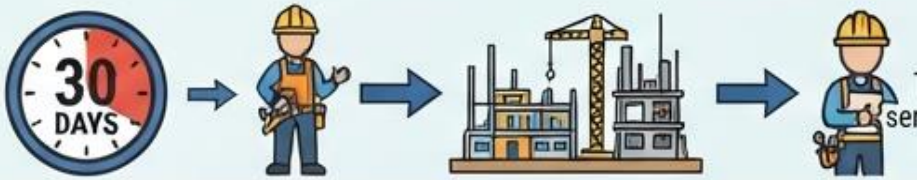
## 4. FINANCIAL MANAGEMENT



SEPARATE BANK ACCOUNT ONLY

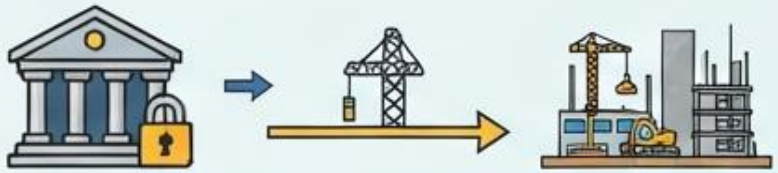
Except in the case under Section 10(S), the advance shall be paid only through a separate bank account opened for the contracted work.

## 5. WORK COMMENCEMENT DEADLINE



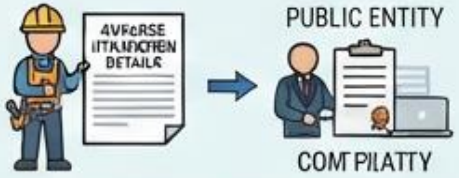

The supplier, construction entrepreneur, or service provider shall commence the work within **30 days** of receiving the first advance.

## 4. FINANCIAL MANAGEMENT DEADLINE



The supplier, construction entrepreneur, or **service provider** shall **commence the work** within 30 days of receiving the first advance.

## 6. UTILIZATION REPORTING




Updated details of the utilization of the advance shall be submitted to the public entity as prescribed.

## 7. NON-COMPLIANCE CONSEQUENCE




If the advance is not used for the contracted work, the advance bank guarantee shall be forfeited.

Other provisions relating to advance payments shall be as prescribed.

# Public Procurement (2nd Amendment) Act, 2083

## Section 52B: Provisions relating to enrolment in the Social Security Fund (new section added)

(1) The procurement contract shall specify the provision on enrolment in the Social Security Fund.
(2) The construction entrepreneur, supplier, consultant or service provider shall enrol, under prevailing law, the labourers, employees or other manpower engaged in the contracted work in the Social Security Fund.
(3) It shall be the responsibility of the concerned party to ensure such manpower's remuneration, facilities and other payments are made through a bank or financial institution account, and, for non-Nepali manpower, that the necessary labour approval has been obtained under prevailing law.

*Note: Introduced in Act, not in Ordinance*

## Section 52C: Provisions relating to sub-contractors, ancillary suppliers and ancillary service providers (new section added)

(1) Before engaging any sub-contractor, material supplier, equipment supplier, ancillary service provider or other person or entity, the construction entrepreneur, supplier, consultant or service provider shall clearly specify the nature, scope and responsibility of the work to be performed and give prior notice to the concerned public entity.
(2) A written contract shall be entered into with such sub-contractor/supplier/provider clearly specifying scope of work, responsibility, quality, duration, payment, security, labour obligations and performance terms.
(3) Entering into such a sub-contract shall not relieve the principal contractor, supplier, consultant or service provider of its obligations under the procurement contract.
(4) Details of payments made to such sub-contractors/suppliers/providers shall be made available to the public entity.
(5) Where such payment has not been made in accordance with the contract terms, the public entity may ascertain the amount payable and pay it by forfeiting the performance guarantee, from retention money, or from other amounts payable to the principal contractor.
(6) No certificate of experience shall be provided by the public entity to any such sub-contractor/supplier/provider, provided that a certificate limited to the portion of work performed may be given to a sub-contractor engaged with the public entity's permission for a specified part of the work.
(7) Where any person or entity is found to have been engaged without prior notice and without a written contract as required, action shall be taken against the principal contractor, supplier, consultant or service provider under prevailing law and the contract terms.
(8) The public entity shall specify these matters in the procurement contract.

*Note: Introduced in Act, not in Ordinance*

## Section 52D: No pressure shall be exerted to act contrary to contract terms or to force relinquishment of rights (new section added)

(1) No party shall be compelled to relinquish or limit any legal or contractual right under the contract, or to sign any related commitment, agreement, condition or document, contrary to this Act, its Rules, the bidding documents, or the procurement contract.
(2) Any relinquishment, agreement, commitment or condition obtained through pressure, intimidation, threat of action, withholding of payment or of time extension, or other such means, shall be void, and the affected party shall not be deemed deprived of its contractual rights on the basis of such a document.
(3) No circular, directive, decision, report or correspondence contrary to this Act, its Rules, or the contract terms may be used to limit or prohibit a contractual right.
(4) Departmental action may be taken against an official found to have acted contrary to sub-sections (1), (2) or (3).

*Note: Introduced in Act, not in Ordinance*

# SECTION 52B, 52C, & 52D: KEY PROVISIONS IN PROCUREMENT CONTRACTS

## SECTION 52B: SOCIAL SECURITY FUND ENROLMENT






### ENROL ALL MANPOWER

The construction entrepreneur, supplier, consultant, or service provider shall enrol all labourers, employees, and other manpower engaged in the contract in the Social Security Fund, in accordance with prevailing law.



### PAYMENTS VIA BANK

The concerned party shall ensure:

- Remuneration, benefits, and other payments are made through a bank or financial institution account.



### NON-NEPALI LABOUR APPROVAL

Non-Nepali manpower has obtained the required labour approval under prevailing law.

The procurement contract shall include provisions relating to enrolment in the Social Security Fund.

## SECTION 52C: SUB-CONTRACTORS, ANCILLARY SUPPLIERS & SERVICE PROVIDERS

PRINCIPAL CONTRACTOR → (Netice) → PUBLIC ENTITY → (Appreval) → SUB-CONTRACTOR



### WRITTEN CONTRACT SPECIFICATIONS

- Scope of Work
- Responsibilities
- Quality
- Duration
- Payment
- Labour Obligations
- Payment
- Security
- Performance Terms



### PRINCIPAL OBLIGATIONS

Engagement of a sub-contractor does not relieve the principal contractor of its obligations under the procurement contract.



### PAYMENT RECOVERY

If payment is not made as agreed, the public entity may pay the amount due by recovering it from:

- The performance guarantee,
- Retention money, or
- Other amounts payable to the principal contractor.



### EXPERIENCE CERTIFICATE RULE

No experience certificate shall be issued to a sub-contractor, except for a certificate limited to the approved portion of work performed with the public entity's permission.



If a sub-contractor is engaged without prior notice or a written contract, action shall be taken against the principal contractor under the prevailing law and contract terms.

These provisions shall be incorporated into the procurement contract.

## SECTION 52D: PROTECTION FROM COERCION & RIGHTS RELINQUISHMENT




No party shall be compelled to:

- Relinquish or limit any legal or contractual right, or
- Sign any commitment, agreement, condition, or document contrary to this Act, the Rules, the bidding documents, or the procurement contract.

### VOID ACTIONS OBTAINED THROUGH COERCION




Any waiver, agreement, or commitment obtained through:

- Pressure, Intimidation, Threat, Withholding of payment, Refusal of time extension, or Similar coercive means, shall be void, and the affected party shall retain its contractual rights.




### DIRECTIVES & CORRESPONDENCE

No circular, directive, decision, report, or correspondence contrary to this Act, the Rules, or the procurement contract may be used to restrict contractual rights.



Departmental action may be taken against an official acting contrary to these provisions.

## Section 54: Variation Order (section replaced)

(1) Where an unforeseen situation arises during contract implementation, the following authorities may, stating clear reasons and following the prescribed procedure, issue a variation order:

(a) up to five percent — the head of the concerned public entity of gazetted third class or equivalent rank;

(b) up to ten percent — the head of gazetted second class or equivalent rank;

(c) up to fifteen percent — the head of gazetted first class or equivalent rank; and

(d) above fifteen percent — the departmental head.

(2) The authority issuing the variation order may form a group of experts, obtain the necessary inquiry and recommendation, and issue the order accordingly.

*Note: Similar in Ordinance*

# SECTION 54: VARIATION ORDER

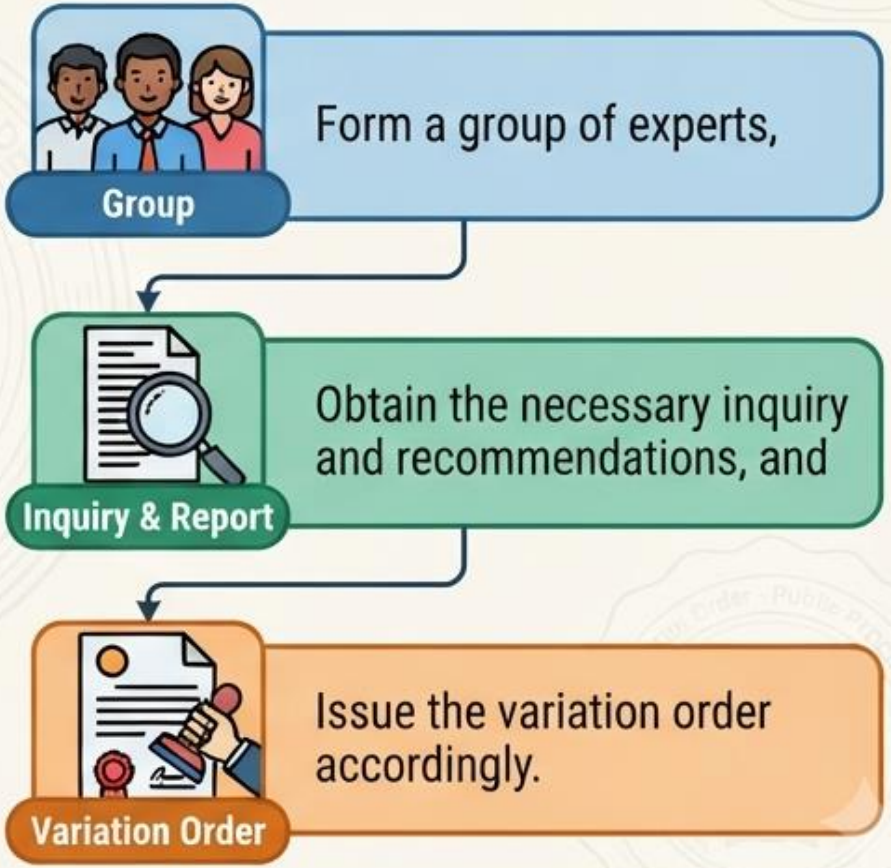
## AUTHORITIES AUTHORIZED TO ISSUE VARIATION ORDERS

Where an unforeseen situation arises during contract implementation, the following authorities may issue a variation order, stating clear reasons and following the prescribed procedure:

- Up to **5%** – Head of the public entity of Gazetted Third Class or equivalent.
- Up to **10%** – Head of Gazetted Second Class or equivalent.
- Up to **15%** – Head of Gazetted First Class or equivalent.
- **Above 15%** – Departmental Head.

## PROCEDURE FOR ISSUING VARIATION ORDER

The authority issuing the variation order may:



# Section 55: Price adjustment in procurement contract

(1) Except as otherwise provided for in a procurement contract, if it appears necessary to make price adjustment in the course of implementation of the procurement contract the term of which exceeds twelve months, the competent authority may make the price adjustment. Provided that where a procurement contract has already been entered into to procure a public construction work following the invitation to national bidding, and the price of any construction materials increases or decreases unexpectedly by more than ten percent of the previous price, price adjustment may be made as prescribed, by deducting ten percent in the amount so increased or decreased.

(1a) Notwithstanding sub-section (1), where an abnormal rise in the price of construction materials, labour, fuel, equipment or transportation occurs due to international causes, war, supply-chain disruption, strike, blockade or other special circumstances, and this cannot be adequately addressed through the prevailing price-adjustment mechanism, the public entity may, upon confirming this, make a special price adjustment as per the procedure approved by the Government of Nepal, Council of Ministers. (added)

(1b) In making such adjustment, regard shall be had to the actual cost increase, continuity of project implementation, and the public interest. (added)

(2) Notwithstanding anything contained in sub-section (1), price adjustment cannot be made if the work under the procurement contract has not been completed within the period specified in such a contract and thereby has taken more time on account of the delay on the part of the person whom the contract has been awarded to or if the procurement contract has been entered into on the basis of lump sum contract or fixed budget.

*Note: Introduced in act, not in Ordinance*

# SECTION 55: PRICE ADJUSTMENT IN PROCUREMENT CONTRACT

## GENERAL PRICE ADJUSTMENT









Where a procurement contract exceeds 12 months, the competent authority may make a price adjustment, unless otherwise provided in the contract.

## CONSTRUCTION WORKS THRESHOLD




In national bidding for public construction works, where the price of construction materials increases or decreases by more than 10% of the previous price:

Price adjustment may be made as prescribed, after deducting the initial 10% increase or decrease.



## SPECIAL PRICE ADJUSTMENT (ABNORMAL CIRCUMSTANCES)

**SPECIAL PRICE ADJUSTMENT**




Construction materials


Labour


Fuel


Equipment


Transportation

EXISTING MECHANISM INSUFFICIENT

Where there is an abnormal increase in the price of:

- due to international causes, war, supply-chain disruption, strike, blockade, or other special circumstances, and

the existing price adjustment mechanism is insufficient:

The public entity may make a special price adjustment under the procedure approved by the Government of Nepal, Council of Ministers.



**PROCEDURE APPROVED BY GOVT OF NEPAL, COUNCIL OF MINISTERS**

## CONSIDERATIONS FOR SPECIAL ADJUSTMENT


Actual cost increase


Continuity of project implementation


Public interest

While making a special price adjustment, consideration shall be given to:

- **Actual cost increase,**
- **Continuity of project implementation, and Public interest.**

## EXCEPTIONS (NO ADJUSTMENT)

Price adjustment shall not be allowed where:



**Delay attributable to contractor & work not completed within contract period**



**Procurement contract based on a lump sum contract or fixed budget**

- The delay is attributable to the contractor and the work is not completed within the contract period, or
- The procurement contract is based on a lump sum contract or fixed budget.

**Note: This infographic is for illustrative purposes and based on the provided text.**

# Construction Continuity & Termination

| Sec. | Section Name | Change Type | Vs. Ordinance | Summary of Amendment |
|---|---|---|---|---|
| **58A** | Continuity & responsibility for public works | **New** | **Partial** | Assigns coordination duties to all government levels; restricts courts from halting works without regard to public interest; creates fraud/negligence liability. |
| **59** | Termination of contract and remedies | **Amendment** | **Similar** | Updates liability calculation on default termination (8); restricts remedy in (9) to terminations within one year of contract date. |

**Section 58A: Provisions relating to continuity, facilitation and responsibility for public construction works** (new section added)

(1) It shall be the responsibility of the federal, provincial and local levels and concerned bodies to provide the construction site, open access routes, facilitate supply of materials, allow use of forest areas and removal of trees, facilitate environmental or other legal approvals, arrange transfer of electricity, water, sewerage and telecom services and infrastructure, manage transport and security, and carry out necessary coordination in a timely manner.

(2) Except where otherwise ordered by a court or authorized body, public construction work shall not be unnecessarily obstructed due to inter-agency disputes, service/infrastructure transfer issues, administrative delay or coordination problems; where an interim or other order halting such work is sought, the court or authorized body shall have regard to project continuity, public service delivery and the wider public interest.

(3) Where investigation shows that a construction entrepreneur, supplier, service provider or other party — despite being able to perform — has in bad faith mobilized advances, misused payments or funds contrary to the contract's purpose, obtained payment through false particulars, failed to perform despite payment, abandoned work, seriously breached the contract, or caused loss to the public entity or State, the responsible director, representative or official shall be deemed to have committed an offence under the prevailing criminal law on fraud or cheating and action shall be taken accordingly.

(4) Where an official or public entity fails, through negligence, unnecessary delay, bad faith or failure to fulfil a legal obligation, to make a timely decision, approval, consent, recommendation or coordination within its authority — thereby causing unnecessary obstruction of public construction work, financial loss to the State, or adverse impact on public service — departmental action may be taken against such official under prevailing law, and grants from the Government of Nepal to the relevant public entity may be withheld.

*Note: Introduced in Act, Partially in Ordinance*

# SECTION 58A: PROVISIONS RELATING TO CONTINUITY, FACILITATION AND RESPONSIBILITY FOR PUBLIC CONSTRUCTION WORKS

## 1 GOVERNMENT FACILITATION OBLIGATIONS




- ☑ Availability of the construction site
- ☑ Access roads
- ☑ Supply of materials
- ☑ Permission for use of forest areas & tree removal
- ☑ Environmental & other legal approvals
- ☑ Transfer of infrastructure (electricity, water, etc.)
- ☑ Transport & security arrangements
- ☑ Necessary coordination

The Federal, Provincial, and Local Governments, and concerned bodies, shall ensure timely:

## 2 UNNECESSARY OBSTRUCTIONS PROHIBITED



- Inter-agency disputes
- Utility/infrastructure transfer issues
- Administrative delays
- Coordination problems

Except where ordered by a court or authorized body, public construction work shall not be unnecessarily obstructed due to:

## 3 HALT ORDER CONSIDERATIONS




While considering any order to halt such work, due regard shall be given to project continuity, public service delivery, and public interest.

## 4 OFFENCES BY ENTREPRENEURS/SUPPLIERS




- ☑ Misused mobilization advance/funds
- ☑ Obtained payment through false information
- ☑ Failed to perform after receiving payment
- ☑ Abandoned the work
- ☑ Committed a serious breach of contract
- ☑ Caused loss to the public entity or State

Where investigation establishes that a construction entrepreneur, supplier, service provider, or other party has, despite being capable of performing:

**CRIMINAL OFFENCE & ACTION**

the responsible director, representative, or official shall be deemed to have committed an offence under the prevailing criminal law on fraud or cheating, and action shall be taken accordingly.

## 5 ACTION AGAINST OFFICIALS & PUBLIC ENTITIES



- ☑ Obstruction of public construction work
- ☑ Financial loss to the State
- ☑ Adverse impact on public service

Where an official or public entity, through negligence, unnecessary delay, bad faith, or failure to perform a legal duty, causes:

**DEPARTMENTAL ACTION & GRANT WITHHOLDING**

departmental action may be taken under the prevailing law, and Government grants to the concerned public entity may be withheld.

## Section 59: Termination of procurement contract and remedies

(1) A procurement contract shall specify the grounds on which the contract may be terminated.

(2) The grounds referred to in sub-section (1) may mainly be as follows

a. Ground that the public entity may terminate the procurement contract if the supplier, consultant, service provider or construction entrepreneur fails to perform the work in accordance with the procurement contract, fails to observe the conduct pursuant to sub-section (2) of Section 62 or misuses the advance.
b. Ground that the public entity may terminate the procurement contract by convenience (termination by convenience) for public interest,
c. Ground that a supplier, consultant, service provider or construction entrepreneur may terminate the procurement contract, and
d. Ground that procurement contract may be terminated in the event of force majeure.

(3) A procurement contract shall contain, along with the following matters, the provision of financial settlement and compensation to be made in the event of termination of the procurement contract:

a. Payment of the amount, if any, due to be made for the value of the work, supply or service that has already been completed/performed satisfactorily,
b. Liability to be borne by a defaulting supplier, consultant, service provider or construction entrepreneur for the increased cost to be incurred by the public entity to carry out or cause to be carried out the work under the procurement contract,
c. Amount of the actual loss, damage sustained by the supplier, consultant, service provider or construction entrepreneur due to the termination of the procurement contract by the public entity without any default on the part of the former.

(4) Except as otherwise provided for in a procurement contract, the public entity may terminate the procurement contract by convenience for public interest.

(5) In the event of termination of a procurement contract pursuant to sub-section (4), the public entity shall pay the amount for the following work that has been completed prior to the termination of the contract:

a. Due payment referred to in clause (a) of sub-section (2),
b. In the event of a provision for making payment of any expenditure on a reimbursement basis, such expenditure actually incurred,
c. The price of the goods that have been specially manufactured for the public entity under the procurement contract,
d. The expenditure incurred in the termination of the procurement contract, excluding the lost profit and the amount referred to in clause (c) of sub-section (3), and
e. Such other expenditure as prescribed.

(6) Notwithstanding anything contained elsewhere in this Section, a person who enters into a procurement contract may not terminate the contract without giving prior information to that effect to the public entity.

## Section 59: Termination of procurement contract and remedies

(7) If a person who enters into a procurement contract with a public entity fails to commence the work under the contract or commences the work but leaves it in the meantime or fails to make the work progress in accordance with the contract, the public entity may terminate such a contract at any time.

(8) Where a contract is terminated under sub-section (7), the entire performance guarantee held for that purpose shall be forfeited. The public entity shall, comparing the updated cost estimate for completing the remaining work against the cost the defaulting party would itself have incurred, determine the additional liability it must bear and recover that additional amount as government dues from the defaulting supplier, construction entrepreneur, consultant or service provider. There shall be no bar to inviting fresh bids, based on the updated cost estimate, to complete the remaining work. (replaced)

(9) In the event of termination of the contract within one year from the date of the contract pursuant to sub section (7), another contract may be made upon soliciting financial proposals, giving a time-limit of fifteen days, from among the bidders who have been selected pursuant to Section 25, for the purpose of completing the remaining work under such a contract.

(10) Approval of the one level higher authority shall be obtained prior to soliciting the financial proposal referred to in sub section (9).

(11) The financial proposal referred to in sub-section (9) shall apply only to the contract entered into through open bidding invited for a construction work.

(12) In the event of failure to enter into the contract pursuant to sub-section (9), the procurement proceeding shall be commenced in fulfilment of the procurement procedures referred to in this Act.

*Note: Similar in Ordinance*

# SECTION 59: TERMINATION OF PROCUREMENT CONTRACT AND REMEDIES

## GROUNDS FOR TERMINATION

### Default by Provider



Failure to perform, observe conduct (Sec 62(2)), or misuse of advance.

### Termination by Convenience



Public interest termination, as permitted by contract.

### Termination by Supplier



Contractor

Supplier, consultant, or entrepreneur terminates.

### Force Majeure



Unforeseeable events.

## PROCEDURE FOR TERMINATION (DEFAULT)

### Conditions for Termination



Fails to commence, abandons work, or fails to progress.

### Consequences of Default Termination

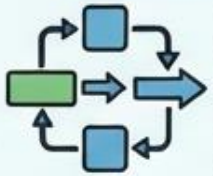


Entire performance guarantee forfeited.

Additional costs recovered from defaulting contractor as government dues.

Fresh bids may be invited.

### Awarding Remaining Work (Construction Contracts within 1 Year)



Invite financial proposals within 15 days from pre-selected bidders.

Prior approval from one level higher authority.

*Applies only to open competitive bidding construction contracts. If not possible, initiate fresh process.

## FINANCIAL SETTLEMENT & COMPENSATION

### Payment for Completed Work



Payment for satisfactorily completed work, goods, or services.



### Liability of Defaulting Party



Defaulting Contractor

Liable for additional cost incurred by public entity to complete work.



Public Entity

### Compensation for Termination Without Default



Compensation for actual loss or damage suffered by the contractor.



### Termination by Convenience (Specific Payments)

- Amount due for completed work.
- Reimbursable expenses.
- Specially manufactured goods.
- Termination expenses (excluding lost profit).
- Other prescribed expenses.

# Institutional Oversight & Enforcement

| Sec. | Section Name | Change Type | Vs. Ordinance | Summary of Amendment |
|---|---|---|---|---|
| 61A | Departmental action to be taken | Amendment | Similar | Expands grounds for requesting departmental action against officials for procurement lapses. |
| 61B | Incentives, bonus to employees | New | Similar | Allows incentives for employees delivering national-pride/transformative projects ahead of schedule. |
| 62A | Rewards to construction entrepreneurs | New | Similar | Allows rewards/appreciation for contractors completing flagship projects ahead of schedule with quality. |
| 63 | Blacklisting | Amendment | Not in Ordinance | New blacklisting grounds (late withdrawal, non-response to info requests); removes separate release-criteria clause. |
| 65 | Functions & powers of PPMO | Amendment | Similar | Expands PPMO's technical-guidance mandate to EPC/turnkey contracts; adds e-Marketplace development role. |
| 66A | EPC, design-build, turnkey contracts | New | Similar | Allows EPC/design-build/turnkey contracts for complex projects; enables framework agreements. |
| 66B | Government Procurement Service Office | New | Not in Ordinance | New office under the PM's Office for technical assistance in supplier selection and specification prep. |
| 67 | Procurement process not to be followed | Amendment | Similar | New exemptions: exhibitions abroad, embassy procurement, aviation services, infrastructure-company materials. |
| 74 | Power to frame rules | Amendment | Similar | Provincial/Local Levels must designate their own body/official where the Act assigns a federal function. |

## Section 61A: Departmental action to be taken

(1) Where the supervising office or authorized body, during monitoring, finds any of the following, it shall write to the empowered authority requesting departmental action against the concerned official under prevailing law:
(a) failing to commence or decide on procurement action in time to complete procurement within the prescribed period;
(b) failing to bar participation in public procurement, or to recover or forfeit amounts, as required under this Act or its Rules;
(c) failing to make timely decisions on site/design drawings, variation orders, time extensions, or bill payments under the contract;
(d) failing to decide on a claim within the contractual time, failing to give notice thereof, or returning registered bills without keeping records;
(e) failing to write for blacklisting where required;
(f) failing to observe the conduct required under Section 61;
(g) evaluating contrary to, or erroneously against, the criteria in the bidding/proposal documents, or failing to fulfil prescribed responsibilities; or
(h) failing to fulfil any other responsibility under this Act or its Rules. (replaced)

(2) If a request is received pursuant to sub-section (1), the competent authority shall take departmental action against such an official in accordance with the prevailing law relating to condition of his or her service and give information thereof to the body which has sent such a request.

*Note: Similar in Ordinance*

## Section 61B: Incentives, bonus and other facilities may be given to employees (new section added)

Where employees involved in procurement-related work on a project of national pride, a transformative project, or a project designated by the Government of Nepal complete the work with quality ahead of the initial schedule and achieve excellent results, incentives, bonus and other facilities may be given, as prescribed, to such employees — by the Government of Nepal for public entities under sub-clause (1) of clause (b) of Section 2, and by the highest executive body for other public entities.

*Note: Similar in Ordinance*

## Section 62A: Rewards, bonus and letters of appreciation may be provided to construction entrepreneurs (new section added)

A construction entrepreneur who completes a procurement or construction contract for a project of national pride, a transformative project, or another specially important project designated by the Government of Nepal, with quality, ahead of schedule and with excellent performance, may be provided rewards, incentives, bonus, letters of appreciation or other facilities, as prescribed — by the Government of Nepal for public entities under sub-clause (1) of clause (b) of Section 2, and by the highest executive body for other public entities.

*Note: Similar in Ordinance*

# PROCUREMENT REGULATION: DEPARTMENTAL ACTION, EMPLOYEE INCENTIVES, & ENTREPRENEUR REWARDS

## SECTION 61A: DEPARTMENTAL ACTION TO BE TAKEN

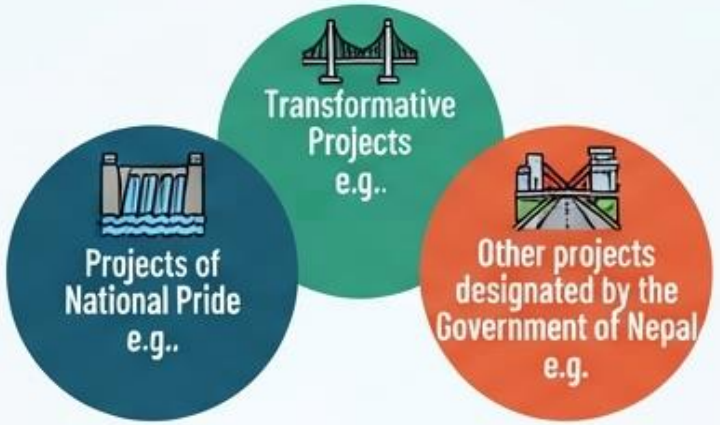
Grounds for Departmental Action
(Recommended by Supervising/Authorized Body)

1. Failure to commence or decide procurement actions in time.
2. Failure to bar participation, recover, or forfeit amounts as required under this Act or the Rules.
3. Failure to make timely decisions on site/design drawings. variation orders, time extensions, or bill payments.
4. Failure to decide contractual claims within the prescribed time, notify decisions, or properly record bills.
5. Failure to recommend blacklisting where required.
6. Failure to observe the conduct required under Section 61.
7. Evaluation contrary to the bidding/proposal criteria or failure to perform prescribed responsibilities.
8. Failure to perform any other responsibility under this Act or the Rules.

**COMPETENT AUTHORITY ACTION:**
Take departmental action under prevailing service law & Inform recommending body.

## SECTION 61B: INCENTIVES, BONUS AND OTHER FACILITIES TO EMPLOYEES

Eligibility & Benefits for Employees in Specific Projects




Complete work with Quality, Ahead of Schedule, Excellent Performance.

**BENEFITS MAY BE GRANTED:**
Incentives, Bonus,
Other prescribed facilities

**APPROVAL:**
By Gov. of Nepal (Sec 2(b)(1))
OR
Highest executive body (other entities).

## SECTION 62A: REWARDS, BONUS & LETTERS OF APPRECIATION TO ENTREPRENEUR

Eligibility & Rewards for Construction Entrepreneurs




Complete work with Quality, Ahead of Schedule, Excellent Performance.

**REWARDS MAY BE RECEIVED:**
Rewards, Incentives, Bonus,
Letters of appreciation
Other prescribed facilities

**APPROVAL:**
By Gov. of Nepal (Sec 2(b)(1))
OR
Highest executive body (other entities).

## Section 63: Blacklisting

(1) The Public Procurement Monitoring Office may, in the following circumstance, blacklist a bidder, proponent, sealed-quotation provider, consultant, service provider, supplier, construction entrepreneur or other person, firm, organization or company from one year to three years according to the seriousness of his or her act:

(a) If it is proved that he or she has committed an act contrary to the conduct referred to in Section 62,

(a1) where a bid is amended or withdrawn after expiry of the period under sub-section (1) of Section 19; (added)

(a2) where information or a reply sought under sub-section (4) of Section 23 is not given, or, in giving it, the price or a material matter is altered. (added)

(b) where a bidder, proposer or sealed-quotation provider selected for approval under Section 27, 38 or 40 fails to enter into the procurement contract. (replaced)

(c) If it is proved subsequently that he or she has made a substantial error in the implementation of the procurement contract or has not substantially fulfilled the obligation under the procurement contract or the work carried out under the procurement contract is not of the quality referred to in that contract, (d) If he or she is convicted by a court of a criminal offense disqualifying him or her to take part in the procurement contract, (e) If it is proved that he or she has made the procurement contract by falsifying the qualification or making misrepresentation, (f) Any such other circumstance as prescribed.

(2) A bidder, proponent, sealed-quotation provider, (added) consultant, service provider, supplier, construction entrepreneur or other person, firm, organization or company that is blacklisted pursuant to sub-section (1) shall not be eligible to take part in the procurement proceeding by any public entity during that period.

(3) Notwithstanding anything contained elsewhere in this Section, a person, firm, organization or company that has been blacklisted by a competent authority under the prevailing law for failure to repay a loan disbursed by a bank or financial institution shall not be eligible to take part in the public procurement proceeding during the period of such blacklisting.

(4) If any person, firm, organization or company that is ineligible to take part in the public procurement proceeding pursuant to sub-section (2) or (3) is found to have taken part in a procurement by a public entity, his or her bid or proposal shall not be entertained.

(5) Other provisions relating to blacklisting pursuant to sub-section (1) shall be as prescribed.

~~(6) The bidders, proponents, consultants, service providers, suppliers, construction entrepreneurs or other persons, firms, organizations or companies that have been blacklisted pursuant to sub-sections (1), (2), (3), (4) and (5) shall be released from the blacklisting in accordance with the criteria prepared by the Public Procurement Monitoring Office on the release from the blacklist.~~ (deleted)

*Note: Introduced in Act, Not in Ordinance*

# SECTION 63: BLACKLISTING

## PUBLIC PROCUREMENT MONITORING OFFICE (PPMO) MAY BLACKLIST ENTITIES FOR 1-3 YEARS

### GROUNDS FOR BLACKLISTING

1. The person acts contrary to the conduct under Section 62.
2. A bid is amended or withdrawn after expiry of the period under Section 19(1).
3. Information or clarification sought under Section 23(4) is not provided, or the price or any material matter is altered while responding.
4. A selected bidder, proposer, or sealed-quotation provider fails to enter into the procurement contract under Section 27, 38, or 40.
5. There is a substantial error in contract implementation, failure to substantially perform contractual obligations, or the completed work does not meet the required quality.
6. The person is convicted by a court of a criminal offence that disqualifies participation in public procurement.
7. The procurement contract was obtained through false qualifications or misrepresentation.
8. Any other prescribed circumstance exists.

**1-3**
**1-3 YEARS**




### CONSEQUENCES & OTHER PROVISIONS

- A person, firm, organization, or company blacklisted under this Section shall not be eligible to participate in any public procurement proceeding during the period of blacklisting.
- A person, firm, organization, or company blacklisted by a competent authority under the prevailing law for defaulting on a bank or financial institution loan shall also be ineligible to participate in public procurement during the blacklisting period.
- If an ineligible person or entity participates in a procurement proceeding, its bid or proposal shall not be entertained.
- Other provisions relating to blacklisting shall be as prescribed.

# Section 65: Functions, duties and powers of Public Procurement Monitoring Office

(1) The functions, duties and powers of the Public Procurement Monitoring Office shall, in addition to those provided for elsewhere in this Act, be as follows:
(a) To make recommendations to the Government of Nepal for making reforms in the policy or prevailing law relating to procurement,
(b) to issue technical guidance required for turnkey, EPC (Engineering, Procurement and Construction), design-and-build, structural or unit-rate contracts, and contracts for operation and management of a constructed structure. ***(replaced)***
(c) To issue standard models of bidding documents, prequalification documents, contract documents and documents relating to request for proposal which are to be used by public entities to conduct procurement proceeding,
(d) To collect statistics of procurement proceedings which have been or will be conducted by public entities and to monitor whether such proceedings have been conducted in compliance with this Act or rules or directives made under this Act,
~~(d1) To make or cause to be made post procurement audits,~~ ***(deleted)***
(d2) To prepare records of procurement related qualifications and experiences of construction entrepreneurs, suppliers, consultants and service providers, (d3) To issue e-procurement guidelines,
(d4) to develop and operate the system relating to the Government e-Marketplace. ***(added)***
(e) If a public entity seeks opinion, advice about any matter set forth in this Act or rules, directives made under this Act, to provide opinion or advice,
(f) To establish and operate a procurement related website,
(g) To publish bulletins in order to make public this Act and the rules, directives and technical guidelines made under this Act and public procurement related writings, articles, materials and similar other matters,
(h) To prepare the procedures required for making coordination in procurement proceedings and submit the same to the Government of Nepal for approval,
(i) To make arrangements for regular training programs for the bidders or employees who are involved or will be involved in procurement proceedings,
(j) To make necessary criteria on releasing from the blacklist referred to in Section 63 and make release from the blacklist in accordance with such criteria,
(j)To review, appraise construction works, supply, consultancy service and other service system in order to make the procurement system effective, and to regularly obtain suggestions from the service recipients, or international organizations and other foreign bodies as per necessity,
(l) To prepare plans of domestic or foreign assistance required to systematize and reform the procurement system and to function as the central body coordinating such assistance,
(l1) to certify procurement experts and persons or entities providing procurement-related training. ***(replaced)***
(m) To submit an annual report on procurement proceedings to the Government of Nepal, and
(n) To do other prescribed functions.
(2) Notwithstanding anything contained in sub-section (1), the Public Procurement Monitoring Office shall neither involve in any manner in the procurement proceedings, except the procurement proceedings of its own, by other public entities nor resolve any dispute that has arisen in relation thereto.
(2a) The Public Procurement Monitoring Office may, if it finds any procurement proceeding by a public entity to be contrary to this Act or the rules, procedures or directives made under this Act, send a request, thereby drawing attention, to the chief of the public entity to rectify the error made in such procurement proceeding and take action against the officials involved in the procurement proceeding and to the competent authority in cases where the chief of the public entity himself or herself has been involved in such procurement proceeding. If such a request is received, the chief of the concerned public entity or competent authority shall rectify the error made, take action against the concerned official in accordance with law and give information thereof to the Public Procurement Monitoring Office.
(3) The Public Procurement Monitoring Office shall perform the function of the secretariat of the review committee referred to in Section 48 and arrange for the budget required for the committee.

*Note: Similar in Ordinance*

# SECTION 65: FUNCTIONS, DUTIES AND POWERS OF THE PUBLIC PROCUREMENT MONITORING OFFICE

## PUBLIC PROCUREMENT MONITORING OFFICE (PPMO)

### GOVERNANCE & OVERSIGHT



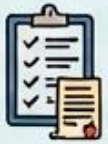
Monitor and oversee implementation of of the Public Procurement Act.



Frame policies and recommend legal and procedural reforms to the Government of Nepal.

### STANDARDIZATION & e-PROCUREMENT

**PREPARE & ISSUE:**



Standard bidding/proposal and contract documents.



Procurement manuals and guidelines.



E-procurement standards and procedures.



Develop and operate the Government e-Marketplace.

### ADVISORY & PUBLICATION



Provide opinions, advice, and technical assistance on procurement matters.



Publish procurement-related notices, directives, manuals, and reference materials.

### COORDINATION & REVIEW



Coordinate with public entities and recommend improvements to procurement laws, policies, and systems.



Monitor the implementation of procurement laws and review their effectiveness.



Review procurement-related complaints and recommend corrective measures.

### CAPACITY BUILDING & INTEGRITY



Promote professionalism, transparency, integrity, and efficiency in public procurement.



Conduct studies, research, training, and capacity-building on procurement.



Prescribe and implement the e-procurement system.

### COMPLIANCE & INQUIRY



Monitor procurement proceedings and investigate procurement-related complaints, except where matters are before a court.



Require public entities to provide procurement-related information, documents, and records.



Conduct inquiries and recomrnend departmental action where procurement procurentts irregularities are found.

### COMMITTEE & OTHER



Establish and operate the Public Procurement Review Committee Secretariat.



Perform other functions as prescribed or assigned by the Government of Nepal.

## Section 66A: Special provisions relating to EPC, design-and-build, turnkey and structural contracts (new section added)

(1) For projects requiring complex and special technical capacity as determined by the Public Procurement Monitoring Office, a public entity may, with approval from the prescribed authority, enter into an EPC, design-and-build or turnkey contract.

(2) Where a public entity has specified goods or other services in the procurement contract, it may procure them at the rate and terms specified, from one or more suppliers, through a framework agreement.

(3) Other provisions relating to such contracts shall be as prescribed.

*Note: Similar in Ordinance*

## Section 66B: Government Procurement Service Office (new section added)

(1) There shall be a Government Procurement Service Office under the Office of the Prime Minister and Council of Ministers to provide technical assistance to public entities under sub-clause (1) of clause (b) of Section 2 in supplier selection and goods procurement.

(2) On request, this Office shall provide technical assistance on:
(a) assisting such public entities to procure goods or services through framework agreements as needed; and
(b) analysing procurement demand and preparing specifications, cost estimates and bidding documents.

(3) The Office may, at the request of such public entities, enter into procurement contracts with suppliers or service providers with whom it holds framework agreements, and procure goods or services accordingly.

(4) The Public Procurement Monitoring Office shall issue a separate procurement directive for operation of this government procurement service.

*Note: Introduced in Act, not in Ordinance*

# SECTION 66A & 66B: SPECIAL PROVISIONS & GOVERNMENT PROCUREMENT SERVICE OFFICE

## SECTION 66A: SPECIAL PROVISIONS RELATING TO EPC, EPC, DESIGN-AND-BUILD, TURNKEY AND FRAMEWORK CONTRACTS



- For projects requiring complex and special technical capacity, as determined by the Public Procurement Monitoring Office (PPMO), a public entity may, with the prescribed authority's approval, enter into:
  - EPC (Engineering, Procurement and Construction) contracts,
  - Design-and-Build contracts, or
  - Turnkey contracts.

Where goods or services are specified in the procurement contract, the public entity may procure them from one or more suppliers through a framework agreement at the agreed rates and terms.

Other provisions relating to these contracts shall be as prescribed.



## SECTION 66B: GOVERNMENT PROCUIRMENT SERVICE OFFICE

A Government Procurement Service Office shall be established under the Office of the Prime Minister and Council of Ministers to provide technical assistance to public entities under Section 2(b)(1) in supplier selection and procurement of goods.

Upon request, the Office shall provide technical assistance in:

- Procuring goods or services through framework agreements, and
- Analysing procurement needs and preparing specifications, cost estimates, and bidding documents.

The Office may, upon request, enter into procurement contracts with suppliers or service providers under framework agreements and procure goods or services on behalf of the public entity.

The Public Procurement Monitoring Office (PPMO) shall issue a separate procurement directive for the operation of the Government Procurement Service Office.

## Section 67: Procurement process under this Act not to be followed

(1) Notwithstanding anything contained elsewhere in this Act, the procurement process referred to in this Act is not required to be followed in any of the following circumstances:

(a) security, strategic or defense related procurement decided by the Government of Nepal,

(b) procurement under a donor party's guidelines per agreement with the Government of Nepal,

(c) procurement by public entities in business competition with the private sector, as prescribed,

(d) If it is required to make procurement abroad, as prescribed, for any act such as fair, event, advertisement, trade fair and exhibition to be organized abroad for social, cultural program or industrial, economic, technology exhibition and promotion, and procurement of goods or other services made abroad (added),

(e) where a Nepali embassy, mission abroad, or other public entity with an office abroad needs to procure goods, construction work, consultancy service, other service, or movable/immovable property; (replaced)

(f) where a public entity licensed to operate aviation services needs to procure or lease an aircraft or aviation/aircraft-related equipment. (replaced)

(f1) where an infrastructure company, in carrying out construction work for which it is responsible, needs to procure construction materials or lease machinery and equipment. (added)

(2) In making a decision pursuant to clause (a) of sub-section (1), the Government of Nepal shall set out the reason for making the procurement and also determine separate procedures related thereto.

(3) The public entity shall prepare the procedures required for the procurement referred to in clauses (c), (d), (e), (f) and (f1) and approve and enforce such procedures, with the consent of the Public Procurement Monitoring Office.

(4) The public entity shall include in the procedures made pursuant to sub-section (3) the matters including the business plan, life cycle and net present value for the procurement referred to in clause (f) of sub-section (1).

*Note: Similar in Ordinance*

# SECTION 67: PROCUREMENT PROCESS UNDER THIS ACT NOT TO BE FOLLOWED

## CIRCUMSTANCES WHERE ACT'S PROCEDURES ARE NOT REQUIRED



**1. Security,** strategic, or defence-related procurement decided by the Government of Nepal.



**2.** Procurement under a donor's procurement guidelines in accordance with an agreement with the Government of Nepal.




**3.** Procurement by public entities competing with the private sector, as prescribed.



**4.** Procurement made abroad for fairs, exhibitions, trade fairs, advertisements, social or cultural programmes, industrial, economic or technology exhibitions and promotions, including procurement of goods or services abroad.



**5.** Procurement of goods, works, consultancy services, other services, or movable/immovable property by a Nepali embassy, mission, or other public entity located abroad.





**6.** Procurement or leasing of aircraft or aviation-related equipment by a public entity licensed to operate aviation services.



**7.** Procurement of construction materials or leasing of machinery and equipment by an infrastructure company for construction works under its responsibility.

## SPECIFIC REQUIREMENTS FOR CERTAIN CIRCUMSTANCES

### FOR SECURITY, STRATEGIC, OR DEFENCE (Clause 1):



- State the reasons for such procurement, and
- Prescribe separate procurement procedures.

### FOR CLAUSES (c), (d), (e), (f), AND (f1):



- Prepare procurement procedures,
- Obtain the consent of the Public Procurement Monitoring Office (PPMO), and
- Implement the approved procedures.

## AVIATION PROCUREMENT PROCEDURES (Clause 6):










- Business plan,
- Life-cycle cost, and
- Net Present Value (NPV) analysis.

## Section 74: Power to frame rules

(1) The Government of Nepal may frame necessary rules for the implementation of the objectives of this Act.

(2) Notwithstanding anything contained in sub-section (1), any public entity, other than the public entity referred to in sub-clause (1) of clause (b) of Section 2, may frame necessary rules subject to the Act, rules or Formation Order relating to such entity.

(3) The Provincial Government and the Local Level, while conducting their procurement proceedings in accordance with this Act, may frame rules in matters including the approval of cost estimates, evaluation and approval of bids, the committee to be formed pursuant to sub-section (2) of Section 41 regarding direct procurement, and the designation of the authority to issue variation orders, in a manner not inconsistent with this Act and the accepted principles of procurement.

(4) Where this Act designates a particular body or official of the Government of Nepal, a Ministry, or any other body to perform an act or decision, and such act or decision is to be performed by a Provincial Government or Local Level, the Provincial Government and Local Level shall arrange for the designated body or official of the concerned level to perform such act or decision. (added)

*Note: Similar in Ordinance*

# SECTION 74: POWER TO FRAME RULES

## GOVERNMENT OF NEPAL



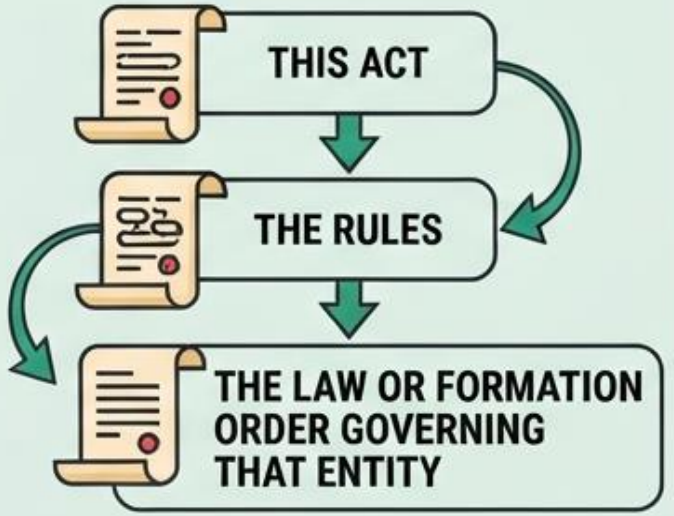
The Government of Nepal may frame necessary rules to implement the objectives of this Act.



## PUBLIC ENTITY (OTHER THAN UNDER SECTION 2(b)(1))




A public entity, other than those under Section 2(b)(1), may frame rules consistent with:




## PROVINCIAL GOVERNMENTS & LOCAL LEVELS



Provincial Governments and Local Levels may frame rules, consistent with this Act and accepted procurement principles, on matters including:



**ACCEPTED PROCUREMENT PRINCIPLES**



Approval of cost estimates,



Evaluation and approval of bids,



Constitution of the committee under Section 41(2) for direct procurement,



Designation of the authority to issue variation orders.

Where this Act assigns a function or decision to a Government of Nepal body or official, the Provincial Government or Local Level shall designate the corresponding authority at its level to perform that function or decision.



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